

BEFORE THE FEDERAL MARITIME COMMISSION

MCS INDUSTRIES, INC.,
Complainant

v.

COSCO SHIPPING LINES CO., LTD. AND
MSC MEDITERRANEAN SHIPPING COMPANY S.A.,
Respondents.

DOCKET NO. 21-05

**RESPONDENT MEDITERRANEAN SHIPPING COMPANY S.A.'S
RESPONSE TO ORDER TO SHOW CAUSE**

Respondent MSC Mediterranean Shipping Company S.A. (“MSC”) herby responds to the September 8, 2022 Order requiring it to show cause why a default judgment should not be entered against it. The precedent of the Commission, and of courts applying the Federal Rules of Civil Procedure, is uniform—entry of a default judgment is a drastic sanction that undercuts the desired goal of deciding cases on their merits and is permissible only if there are no available alternatives. *See, e.g., Tak Consulting Eng'rs v. Bustani*, Docket No. 98-13, 28 S.R.R. 581, 583 (ALJ 1998)(“The reluctance to decide by default judgments is consistent with the underlying philosophy regarding proceedings before administrative agencies like the Commission. Under this philosophy agencies prefer to decide cases based on evidence rather than on defaults and technicalities”); *Webb v. District of Columbia*, 146 F.3d 964, 971 (D.C. Cir. 1999)(“because disposition of cases on the merits is generally favored, we have said that a default judgment must be a ‘sanction of last resort . . .’”)(quoting *Shea v. Donohoe Construction Co.*, 795 F.2d 1071, 1075 (D.C. Cir. 1986)). A default sanction would be unwarranted and inappropriate in the present circumstances for several independent reasons:

- (1) MSC has provided full discovery on what Complainant itself has termed the “heart” of the conduct it is challenging in the case, *see* Motion to Compel, at 34, 37 (filed Nov. 29, 2021), including providing discovery on matters that are also covered by the motion to compel before it was issued (and the Swiss blocking statute was triggered). The remaining discovery at issue has either been mooted by Complainant’s amended complaint or concerns matters tangential to the basis of Complainant’s claims and its nonproduction cannot be said to prejudice Complainant. Indeed, Complainant itself has taken the position that reciprocal discovery sought by MSC on the same matters is not relevant or necessary to the claims or defenses in this case.
- (2) There is no bad faith or willful misconduct. MSC’s inability to provide the additional ordered discovery is based on its good faith belief, upon the advice of Swiss counsel which it has confirmed in preparing this response, that it cannot comply with the motion to compel without violating Swiss law and exposing itself to criminal liability under Swiss law.
- (3) MSC has obtained advice from Swiss authorities and has proposed available procedures to address the conflict between Swiss law and the discovery needs of this proceeding. MSC has received a supplemental memorandum from its Swiss counsel, *see* Exhibit 1, and a second opinion from respected Swiss academics who study, teach, and practice in this area, *see* Exhibit 2¹, both of which confirm the legal constraints on MSC’s ability to produce additional documents and suggest a clear way to resolve the issue.

¹ The articles and cases cited in Exhibit 2 total hundreds of pages; Respondent has therefore not provided copies with this filing but can do so upon request.

(4) Consultation procedures under 46 U.S.C. § 41108(c), which Complainant itself has argued are mandatory, *see, e.g.*, April 4, 2022 Joint Status Report at 6; July 15 Joint Status Report at 2, have not been exhausted.

MSC also respectfully submits that the issue whether the Commission has jurisdiction over this proceeding to begin with should be revisited and addressed by the Commission itself given

(1) The issues of international comity raised by this case, including discovery that among other things seeks private financial information that is itself also protected under Swiss law by criminal sanctions against its disclosure, *see* Exhibit 1, at 6-8; Exhibit 2, at 7-9; and

(2) Complainant's recent efforts in an email request dated September 15, 2022 to try to use the threat of a default judgment in this proceeding to derail the ongoing arbitration between the parties, which is before a panel that has unquestioned jurisdiction to decide the contractual issues that are at the basis of the claims in this proceeding.

In sum, MSC believes that a default judgment cannot issue because alternative channels to avoid an irreconcilable conflict with Swiss law are available and have not been fully exhausted, including Consultation procedures provided under the Shipping Act that Complainant itself has argued are mandatory; because there is no prejudice to Complainant or the tribunal in trying to resolve the issue through use of the proper Swiss procedures; because the circumstances of this case do not come close to approaching those in the very few cases in which the drastic remedy of default has been imposed rather than allowing a case to be decided on the merits; because there is no bad faith or willful misconduct, but only MSC's good faith belief that compliance would expose it to risk under Swiss law; because there is no actual prejudice to Complainant; because there is no

prejudice to the Commission; and because this Commission does not properly have jurisdiction over this matter.

MSC discusses each of these issues next.

I. Further consultation with the Swiss authorities, not a default judgment, is the proper course for addressing MSC's good faith belief that discovery compliance would risk criminal sanctions

MSC has consistently asserted, in line with opinions of its Swiss counsel and now confirmed by the opinions of respected legal academics, that it would risk criminal sanctions if it complied with the outstanding discovery order without use of the procedures under the Convention of 18 March 1970 on the Taking of Evidence Abroad in Civil or Commercial Matters (the "Hague Evidence Convention"), or some other authorization from the Swiss authorities. As the Order to Show Cause notes, the Hague procedures were instituted at Your Honor's direction to address this issue. MSC had recommended that the request be sent to the court in Geneva through the Swiss Federal Office of Justice that acts as the official center of legal expertise for mutual legal assistance matters in Switzerland in order to guard against just such a misstep, *see* April 4 Joint Status Report, at 13, but it was instead directed to the Geneva Court of First Instance. The Geneva Court of First Instance denied the request on the ground that it concerns "an administrative proceeding directed by an administrative judge connected with the United States Federal Maritime Commission" and thus "does not relate to a civil or commercial case and thus does not fall within the scope of application of [the Hague Convention]."

This ruling was unexpected to all parties. The ruling is based on a misapprehension of the nature of the Commission's proceedings and is directly contrary to well-settled U.S. law that Commission proceedings are directly analogous to civil proceedings in federal court. *See Federal Maritime Commission v. South Carolina State Ports Authority*, 535 U.S. 743, 122 S. Ct. 1864, 152

L. Ed. 2d 962 (2002). MSC was advised by Swiss counsel that the decision was also contrary to the prevailing view of the Swiss Federal Office of Justice.

Accordingly, MSC proposed in its July 15 status report that the quickest and most efficient way forward would be to seek advice of the Federal Office of Justice as to resubmission of the request. This could then be supported, as the first request was not, by appropriate detail regarding the nature of the proceeding and with reference to directly applicable and binding precedent of the United States Supreme Court confirming the Commission adjudicative proceedings are for all relevant purposes equivalent to civil judicial proceedings. *See South Carolina State Ports Authority*, 535 U.S. at 759 (“the similarities between FMC proceedings and civil litigation are overwhelming.”). Complainant urged instead the use of the mandatory Consultation procedures expressly provided for in the Shipping Act where “a common carrier alleges that information or documents located in a foreign country cannot be produced because of the laws of that country,” which is the situation here. *See* 46 U.S.C. § 41108(c)(2). Under these procedures, “the Commission shall immediately notify the Secretary of State of the failure to comply and of the allegation relating to foreign laws. On receiving the notification, the Secretary of State shall promptly consult with the government of the nation within which the information or documents are alleged to be located for the purpose of assisting the Commission in obtaining the information or documents.” *Id.*

Neither party requested in response to the Geneva court ruling that an order immediately be issued requiring production of the discovery, notwithstanding the Swiss law issues that MSC and its Swiss counsel had identified. Nor did MSC oppose the institution of the statutory Consultation procedures, though it did believe, and still does, that resubmission under the Hague

procedures would lead to a prompter resolution. MSC also believes the two procedures could be undertaken simultaneously in order to resolve the conflict.

The July 29 Order nonetheless required production of the documents, without addressing 46 U.S.C. § 41108(c)(2). The Order to Show Cause likewise does not reference the statute or explain why Consultation under its provisions would be fruitless. The Order to Show Cause instead states that “the question of whether Swiss assistance with discovery is required has been answered by the undersigned Administrative Law Judge and by the Court of First Instance in Geneva.” Order to Show Cause at 2.

The only change in circumstance since the May 4 Order Granting Request for Letter of Request Under Hague Convention is the decision of the Geneva Court of First Instance. That decision, made without appropriate context based on an incomplete submission, was based on a rationale—Commission proceedings are not like civil judicial proceedings—that is, at a minimum, directly contrary to U.S. law. The advice MSC received from the Federal Office of Justice, subsequent to the decision of the Geneva Court of First Instance, confirmed that the request could be resubmitted, and listed the factors that would be considered under the Swiss law and practice in determining whether this proceeding is a civil adjudicative action to which the Hague procedures apply. Each of these considerations cuts strongly in favor of the conclusion that they do. As the Order to Show Cause notes, the Federal Office of Justice was reluctant to openly criticize the Geneva court’s ruling, but it did provide a clear path forward. The Federal Office of Justice had every opportunity to state that further applications would be similarly dismissed or unproductive, but to the contrary provided a road map for a more complete application that would lead to a correct resolution of the issue.

MSC thus respectfully submits that imposition of a default judgment or other sanction on the basis of its position that it cannot produce the ordered discovery because of the laws of Switzerland, without undertaking the Consultations prescribed by Section 41108(c)(2), would be inconsistent with that statutory provision. The Shipping Act expressly provides for Consultations, not a default remedy, in that circumstance. And as discussed in the next section, a default would not be the appropriate remedy in any event where MSC has attempted in good faith to address the Swiss law issues and where there are ready alternatives to a default to do so.

II. Relevant precedent of the Commission and the federal courts provides no support for entry of a default judgment in the present circumstances

A. Default judgments are disfavored in favor of the policy to decide cases on their merits

In considering discovery sanctions, as in other matters involving its adjudicatory proceedings, the Commission looks to the Federal Rules of Civil Procedure to supplement its own rules. See 46 C.F.R. § 502.12. “Federal Rule of Civil Procedure 37(b) is the corollary to the Commission’s rule on discovery sanctions (46 C.F.R. § 502.150).” *Rana v. Franklin, d/b/a/ “The Right Move,” Inc.*, No. 19-03, at 7 (FMC May 25, 2022). In vacating the entry of a default judgment under the federal rules, a federal appeals court stated:

We recognize the burdens and management responsibilities a heavy docket places on a district court, but we must be equally cognizant of the drastic nature of a default judgment, which deprives a party completely of its day in court. Because disposition of cases on the merits is generally favored, we have said that a default judgment must be a “sanction of last resort,” to be used only when less onerous methods (for example, adverse evidentiary determinations or other “issue-related sanctions”) will be ineffective or obviously futile.

Webb v. District of Columbia, 146 F.3d at 971 (quoting *Shea*, 795 F.2d at 1075).

The standard for entering a default judgment has been stated as follows: “a district court may use its inherent power to enter a default judgment only if it finds, first, by clear and convincing

evidence—a preponderance is not sufficient—that the abusive behavior occurred; and second, that a lesser sanction would not sufficiently punish and deter the abusive conduct while allowing a full and fair trial on the merits.” *Shepherd v. American Broadcasting Companies*, 62 F.3d 1469, 1472 (D.C. Cir.1995). Even after finding serious and repeated instances of litigation misconduct, the Court must then “calibrate the scales” to determine if the “draconian” sanction of default is warranted. *Richardson v. Union Oil Co. of California*, 167 F.R.D. 1, 4 (D.D.C.), *on reconsideration in part*, 170 F.R.D. 333 (D.D.C. 1996). In *Richardson*, the misconduct engaged in included direct misrepresentations in pleadings submitted to the Court and alteration of documents, and yet the extreme remedy of default was not imposed. *See id.* at 5. Any sanctions imposed must also be narrowly tailored to address the specific harm. *Rana*, at 7 (citing *Rivera v. New York City Hous. Auth.*, Civ No. 94-436, 1998 U.S. Dist. LEXIS 2816 (S.D.N.Y. Mar. 11, 1998)).

MSC does not mean in citing these cases to suggest that conduct has occurred here that is anywhere near the conduct they discuss. To the contrary, these authorities show that the facts here are a very far distance from those in the cases where a default judgment has been entertained, and even in those cases the “severe” and “draconian” penalty of default was not warranted. *See also Coltrane v. Wilkins*, 340 F.R.D. 476, 482 (D.D.C. 2022)(default judgment is serious medicine that should be used only as a “last resort;” default not imposed even though the defendant had missed three hearings without advance notice); *Rana, supra* (default not imposed where Respondent participated in the case but refused to provide any discovery other than an email to the ALJ with “boilerplate” objections and partial responses, and did not produce any documents.) *Cf. GO/DAN Industries, Inc. v. Eastern Mediterranean Shipping Corp.*, FMC Docket No. 98-24, 1998 FMC

LEXIS 5, at *5 (ALJ Dec. 10, 1998) (default where Respondent entirely failed to participate in the proceedings).

The D.C. Circuit has set forth “three basic justifications [to] support the use of dismissal or default judgment as a sanction for misconduct.” *Webb*, 146 F.3d at 971; *see also Shea*, 795 F.2d at 1074-1077. First, prejudice to the opposing party—whether the conduct “has severely hampered the other party's ability to present [her] case.” *Webb*, 146 F.3d at 971. Second, prejudice to the court—whether the conduct has placed an “an intolerable burden” on the tribunal in the form of delay or other accommodation. *Id.* (quoting *Shea*, 795 F.2d at 1075). Third, the bad faith or contumacious nature of the conduct—whether conduct is such that the severe sanction of dismissal or default is necessary to deter disrespectful or contumacious conduct in the future. *See id.* (citing *Shea*, 795 F.2d at 1077). None of these considerations justify the extreme sanction of default in this case.

B. MSC has not acted in bad faith

In *Wash. Metro. Area Transit Comm’n v. Reliable Limousine Serv., LLC*, 776 F.3d 1, 6-7 (D.C. Cir. 2015), the court of appeals explained that discovery sanctions serve two purposes: punishing disobedient parties and deterring others from emulating their behavior. Default judgments have been reserved for conduct that “on the spectrum of discovery misconduct” is egregious and exhibits bad faith. *Id.* at 6 (citing *NHL v. Metro. Hockey Club*, 427 U.S. 639, 643 (1976)(approving default judgment where litigant exhibited “flagrant bad faith” and “callous disregard” of discovery obligations); *Jackson v. Beech*, 636 F.2d 831, 836 (D.C. Cir. 1980) (“default judgments were designed to handle[] a totally unresponsive party”); *H.F. Livermore Corp. v. Aktiengesellschaft Gebruder Loepfe*, 432 F.2d 689, 691 (D.C. Cir. 1970) (“[T]he possibility of a default is a deterrent to those parties who choose delay as part of their litigative

strategy.”)). As stated in *Dorsey v. Acad. Moving & Storage, Inc.*, 423 F.2d 858, 860 (5th Cir. 1970), “[t]he sanctions available under Rule 37(b) for such conduct are predicated upon the presence of such factors as willful disobedience, gross indifference to the right of the adverse party, deliberate callousness, or gross negligence.”

Reliable Limousine concluded that a default sanction was permissible where the defendant had “yet to offer a plausible excuse for his failure to participate in discovery,” and was a “discovery repeat offender” with a “history of self-directed discovery misconduct.” 776 F.3d at 6. Moreover, his refusal to participate in discovery was not only willful but appeared to be a calculated move to delay for the sake of delay. Here, by contrast, MSC has fully participated in the litigation, has provided substantial discovery on the core issues in the case, and has fully explained in its filings, supported by the opinions of Swiss counsel, and now supplemented by a further opinion from respected academics, that it risks criminal sanctions unless it obtains assistance or authorization from the Swiss government to proceed, which it has diligently sought even in the face of an unexpected ruling that increased its legal risk.

MSC continues to work in good faith to try to resolve the impasse created by the Geneva court ruling, and further believes in good faith that its efforts with the Swiss Federal Office of Justice provide a path forward. This case thus does not present anything like the willful nonparticipation in the litigation and discovery process that has been present in those few cases where a default judgment has been awarded and upheld. See *Societe Internationale Pour Participations Industrielles Et Commerciales v. Rogers*, 357 U.S. 197, 211-212 (1958)(“It is hardly debatable that fear of criminal prosecution constitutes a weighty excuse for nonproduction, and this excuse is not weakened because the laws preventing compliance are those of a foreign

sovereign;” “failure to comply has been due to inability, and not to willfulness, bad faith, or any fault of petitioner.”).

C. There is no “actual prejudice” to Complainant

Complainant has not stated, and MSC submits that it cannot reasonably state, that it would suffer actual prejudice by further procedures and consultations with the Swiss government to allow MSC to collect and produce additional discovery subject to the order to compel. To the contrary, Complainant has consistently maintained that the consultative procedures under 46 U.S.C. § 41108(c)(2) are mandatory. *See, e.g.*, April 4 Joint Status Report at 6 (Complainant states position that MSC’s “invocation of Swiss law in defense of its failure to comply with the December 8 Order necessarily implicates Section 41108(c)(2), which *requires* the Commission to ‘immediately notify the Secretary of State of the failure to comply and of the allegation relating to foreign laws’ so that “the Secretary of State shall promptly consult with the government of the nation within which the information or documents are alleged to be located for the purpose of assisting the Commission in obtaining the information or documents.”)(emphasis in original). Complainant reaffirmed this position after the Geneva court’s ruling. *See* July 15 Joint Status Report at 2. Complainant has never taken the position that any delay resulting from the mandatory Consultation procedures would be prejudicial, provided it is not forced to take depositions before documentary discovery is substantially completed, and both Complainant and MSC expressly requested in the July 15 report that additional consultative procedures be undertaken with the Swiss government to address the Geneva court’s ruling.

Nor would additional consultations with the Swiss impose a delay that would prejudice the Complainant. Complainant delivered the initial letter request to the Geneva Court of First Instance in response to Your Honor’s May 4 Order nearly four weeks later, on May 31, 2022. That court

ruled 30 days later. MSC is prepared to immediately submit a letter request, including the appropriate context on each of the factors identified in the recent advice from Swiss Federal Office of Justice to that office. Because the Swiss Federal Office of Justice is aware of the request and has indicated that it would be receptive to a more complete submission, there is reason to believe the decision may be issued even quicker than the 30 days it took the Geneva Court of First Instance.

Additionally, in the context of a default judgment, federal law is clear that “delay that merely prolongs litigation “is not a sufficient basis for establishing prejudice.” *Reliable Limousine*, 776 F.3d. at 5 (citing *Berthelsen v. Kane*, 907 F.2d 617, 621 (6th Cir. 2015)(reversal of default judgment)(further quotations omitted). To establish prejudice, the plaintiff must show that the “delay will result in the loss of evidence, increased difficulties in discovery, or greater opportunities for fraud and collusion.” *INVST Financial Group, Inc. v. Chem-Nuclear Systems, Inc.*, 815 F.2d 391, 398 (6th Cir. 1987). Complainant has not asserted and cannot show how any of the above forms of prejudice would result from further consultations with the Swiss government; in fact, such consultations are necessary and helpful to facilitate discovery.

Finally, even assuming further consultations were disallowed, preventing MSC from obtaining the necessary authorizations to produce additional discovery subject to the motion to compel, Complainant cannot plausibly contend that it would suffer “actual prejudice” that so “severely hampers” it that it could show it “has been so prejudiced by the misconduct that it would be unfair to require [it] to proceed further with its case.” *Shea*, 795 F.2d at 1075 (cleaned up). This is not a case where MSC has refused to participate in discovery. Substantial discovery has already been exchanged among the parties on the core issues of the case. In fact, MSC has provided full discovery on what Complainant itself has termed “heart of the conduct” it is challenging in the case, see Motion to Compel, at 34, 37, including on matters that are also covered by the motion

to compel before it was issued and the Swiss blocking statute was triggered. The remaining discovery at issue has either been mooted by Complainant's amended complaint or is of such tangential importance to the claims and defenses at issue that there is no "actual prejudice" to Complainant and, thus, no justification for the extreme sanction of a default judgment.

MSC will of course not reargue the motion to compel, and Your Honor has directed that it also not argue the merits of the case. MSC will, however, have to discuss the relationship of the discovery already provided to the issues in the case, as now defined by the Second Amended Complaint, in order to demonstrate that there is no potential prejudice to Complainant from nonproduction that justifies a default judgment. Each category of information at issue is discussed next.

1. Information concerning Complainant MCS Industries and its cargo (Order Categories C, D, E and G)(Requests for Production 5-13 and 23-24; Interrogatory 8)

MSC's compliance with the Order with respect to requests 5-13, 17, 23-24 and interrogatory 8 cannot serve as a basis for default judgment. There is no prejudice to Complainant because MSC has already, before Your Honor issued the Order, produced what it believes to be all responsive, non-privileged documents and communications subject to the agreed upon limitations of time, geography and scope (e.g., actual or attempted bookings (as opposed to actual carriage for which there are no claims)): "with" Complainant (Request No. 5), "with any person or entity concerning" Complainant / its Cargo (Request No. 6), and "concerning" Complainant / its Cargo (Request No. 7), "concerning any booking or attempted booking of transportation" by MSC of Complainant's cargo (Request No. 8), "concerning the tender" to MSC of Complainant's cargo (Request No. 9), any "notice" provided to MSC "of MCS's space requirements" (Request No. 10), "concerning any MCS Cargo accepted" (Request No. 11); "concerning transportation provided" (Request No. 12), "concerning any MCS Cargo not accepted" (Request No. 13),

“cancelled, blanked, voided, or that otherwise did not actually sail” (Request No. 23), and for any vessel or sailing offered as an “alternative” (Request No. 24).

The substantial document production that MSC has already made as part of its initial production on November 5, 2021, and its supplemental production on November 24, 2021, is not limited to communications between the parties, or limited to communications about a subset of the cargo carried under the contract, but includes all responsive, non-privileged communications internal to MSC and between MSC and any intermediaries acting on Complainant’s behalf, for example, Complainant’s handling agent and its booking agents in China, concerning Complainant, Complainant’s cargo, and the relevant service contract.

To the extent these requests are focused on obtaining documents from Complainant’s agents in China, again, MSC has already produced all responsive, non-privileged documents in its possession. Complainant caused Your Honor to issue subpoenas on November 3, 2021 to third parties Shandong Smart International Logistics Co., Ltd. (“Smart”), Qingdao JET Marine Logistics Co., Ltd. (“JMS”), and China Ocean Shipping Agency, Tianjin Co., Ltd., doing business as PENAVICO Tianjin (“Penavico”). MSC has not been advised that Complainant has been able to obtain any documents or information pursuant to these subpoenas, or that they were properly served. These entities are third parties that are not under MSC’s control. However, in an effort to move discovery forward, MSC has contacted each of them to determine whether it could obtain additional documents pursuant to its rights under its commercial contracts with these parties (MSC has produced copies of the contracts themselves). Those efforts were not successful as these

parties took the position that they were not under MSC's control and that MSC's audit rights did not extend to litigation discovery.²

MSC understands that Complainant's agent Expeditors provided additional relevant documents to Complainant in November 2021, but it is not clear that any of those documents have been provided to MSC. It also bears noting that Complainant has objected to MSC's reciprocal requests for information reflecting communications with these third-parties and Complainant regarding booking, attempted bookings, carriage, or non-carriage of MCS cargo within the same time and geographic limitations on the grounds, in part, that such information is "not relevant to the claims or defenses in this case." *See, e.g.*, Complainant's Responses and Objections to MSC's Second Set of Interrogatories and Second Set of Requests for Production of Documents to Complainant, Interrogatories 2 and 3. MSC hopes to resolve these production issues among counsel, without the need to involve Your Honor, but Complainant's position on reciprocal requests is probative to any alleged prejudice.

The order granting the motion to compel states that MSC must produce all documents and communications responsive to above-referenced requests. MSC's primary objection to these requests was that they were overbroad, vague, and duplicative of other requests. As the Order notes, Order Granting Motion to Compel at 4, the requests were narrowed to documents and communications concerning sailings scheduled from May through August 2021 from the ports of Qingdao, China and Tianjin, China to California, which are the only ports and time periods for which Complainant has made claims in the discovery subject to the motion to compel. Based on

² Complainant at times has attempted to make something of references to these parties as "agents", but as MSC noted in its discovery responses, these parties are not MSC's agents either within the legal meaning of the term or for purposes of giving MSC control over their information and documents.

the revised scope, MSC believes it has already provided all responsive, non-privileged documents. Complainant has provided no basis to suggest the production is incomplete.

MSC has also provided some documentation as to August 2021 sailings, but has not made an exhaustive search for and production of such documents because Complainant has stated that it has not had any problems with its bookings in August and has presented no claims relating to August bookings or sailings. Accordingly, no finding of prejudice can be based on this information.

Finally, the order to compel was based in part on the notion that the cancellation notices may communicate what sailings were cancelled but may not include information showing “why” the sailings were cancelled. This is incorrect. The cancellation notices include, where available, information regarding the cause of the change in schedule. In addition, MSC has provided information as to every booking made or attempted by Complainant in this period, including the reasons why any rejected booking was rejected. Accordingly, the order with respect to requests 5-13, 17, 23-24 and interrogatory 8 cannot serve as a basis for default judgment—there is no possible prejudice because all of the information responsive to these requests has already been provided.

2. Information related to Defenses mooted by the Amended Complaint (Financial Information and Force Majeure)(Order Categories F and L)(Requests 14-15, 31-35; Interrogatories 9-10, 13-14)

MSC’s compliance with the Order with respect to requests 14-15 and 31-35 and interrogatories 9-10 and 13-14 likewise cannot serve as a basis for default judgment. There is no prejudice to Complainant because the issues are now moot and because MSC has otherwise already produced responsive documents.

Complainant's document requests and interrogatories seeking information regarding force majeure notices and MSC's financial information were premised on MSC's assertion of force majeure as an affirmative defense in its answer to Complainant's initial complaint. Complainant's motion to compel argued that MSC's refusal to provide discovery relating to its assertions of force majeure would improperly deprive it of discovery regarding MSC's own defenses. Your Honor's order compelling production likewise held that "[i]f MSC Mediterranean Shipping wants to raise force majeure as a defense, it needs to provide relevant discovery." Order Granting Motion to Compel at 8. With respect to the financial information generally, Complainant argued that the information was relevant to "Respondent's invocation of force majeure as a defense to any alleged nonperformance." Complainant's Motion to Compel and Respondent's Counterstatement and Opposition at 69. Your Honor's order compelling production likewise noted, in relevant part, "MCS Industries asserts that financial data and ownership information is relevant to the defense of force majeure[.]" Order Granting Motion to Compel at 11.

Complainant subsequently moved to file an amended complaint and did file an amended complaint on February 4, 2022. MSC timely filed its answer to the amended complaint on February 24, 2022. MSC's answer to the amended complaint does not assert force majeure as a defense, therefore, the issue is moot and there can be no prejudice related to discovery on a defense that is no longer part of the case.

Complainant asserted and Your Honor's order recognized alternative theories for discovery on MSC's financial and organizational information. Complainant asserted discovery regarding MSC's assets, financial performance, and insurance coverage was necessary to: (1) prove the veracity of MSC's unremarkable claim that global, pandemic-induced supply chain disruptions (port congestion, work shortages, etc.) created operational "challenges," (2) establish MSC

operates with a profit-motive, and (3) ensure MSC has the financial resources to make good on a potential future judgment. Complainant's Motion to Compel and Respondent's Counterstatement and Opposition at 69-70; Order Granting Motion to Compel at 11. None of these issues can reasonably be disputed, and none has any direct relationship to the issues of liability or damages as to the underlying claims.

Complainant further asserted and Your Honor's order recognized that discovery of MSC's organizational structure is relevant to "how discovery in this proceeding should be conducted with respect to non-parties, including Respondent's booking agents." Complainant's Motion to Compel and Respondent's Counterstatement and Opposition at 70. The substantial discovery in this case has clarified that the only subsidiary of Respondent MSC is MSC USA Inc., an agent for MSC that is listed as such in the operative service agreement. Complainant fully understands that the relevant booking and handling agents responsible for booking its cargo are third-parties, as evidenced by the fact that it requested Your Honor's permission to issue third-party subpoenas on the very same parties last November.

In summary, Complainant has not and cannot show that not having access to MSC's financial or organizational information will "severely hamper" its ability to present its claims and defenses; accordingly, no finding of prejudice is appropriate or could justify a default judgment.

Additionally, with respect to the force majeure information, no finding of prejudice could be made because MSC believes it has already provided all responsive, non-privileged information, including documents and communications "concerning any Force Majeure event" affecting the 2021 OCA or MSC's obligations or performance under the 2021 OCA (Request No. 14) and "concerning any notice of notification" of force majeure by MSC to "any Shipper" (Request No. 15). Complainant has provided no basis to suggest the production is incomplete.

As above, Complainant has objected to MSC's reciprocal requests for similar information, in part, on the grounds that the information is not relevant or necessary to the claims or defenses in this case. Specifically, Complainant has objected to MSC's Requests regarding notice of voided or cancelled sailings from any ocean common carrier, non-vessel-operating common carrier (NVO), booking agent, or other party for any vessels sailing from Qingdao and Tianjin, China or an alternative port to the U.S. West Coast on voyages departing during the subject period. *See, e.g.,* Complainant's Responses and Objections to MSC's Second Set of Interrogatories and Second Set of Requests for Production of Documents to Complainant, RFPs 22-23. Similarly, Complainant has objected to MSC's Requests regarding changes in vessel sailing schedules from any ocean common carrier, non-vessel-operating common carrier (NVO), booking agent, or other party for any vessels sailing from Qingdao and Tianjin, China or an alternative port to the U.S. West Coast on voyages departing during the subject period. *See, e.g.,* Complainant's Responses and Objections to MSC's Second Set of Interrogatories and Second Set of Requests for Production of Documents to Complainant, RFPs 24-25. Again, MSC hopes to resolve these production issues among counsel, without the need to involve Your Honor, but Complainant's position on reciprocal requests is probative to any alleged prejudice.

Accordingly, the order with respect to requests 14-15 and 31-37 and interrogatories 9-10 and 13-15 cannot serve as a basis for default judgment—there is no possible prejudice because the issues are moot, information responsive to these requests has already been provided, and Complainant itself has asserted that similar information sought from it is irrelevant.

3. Information on general and administrative matters (Individuals with Knowledge, MSC Policies, Past Violations)(Order Categories B, I, M and N)(Requests 26-27, 29-30, 36-37, 39; Interrogatories 1-3, 5-7, 11-12, 15)

MSC's compliance with the Order with respect to requests 26-27, 29-30, 36-37, 39 and interrogatories 1-3, 5-7, 11-12 and 15 likewise cannot serve as a basis for default judgment. No finding of prejudice can be found where MSC has already responded to these document requests and interrogatories, where there are no responsive documents to produce, or whether the discovery is of only tangential importance.

MSC has already disclosed to Complainant the identity of all individuals with "substantive knowledge of and/or decision-making authority concerning the matters at issue in this case" (Interrogatories 1-3, 5-7, 11-12). In fact, all but two of the key MSC personnel were disclosed to Complainant in the initial disclosures MSC served over one year ago on September 7, 2021. The two other MSC individuals with knowledge, Mr. Jack Fen and Mr. Dennis Ren, MSC personnel at the Ports of Quindao and Tianjin, respectively, were identified in Complainant's own initial disclosures. Similarly, all of the individuals with knowledge at the relevant booking agents in China that Complainant used were likewise included in Complainant's own initial disclosures. MSC supplemented these disclosures in its April 13, 2022 response to Complainant's second set of interrogatories and document requests.

MSC also responded fully to these requests by producing documents sufficient to identify "all persons who communicated" on MSC's behalf with Complainant "or any other person acting on MSC's behalf concerning MCS Cargo" (Request No. 26), "all persons who communicated on MCS's behalf" with MSC or any other person acting on MSC's behalf concerning MCS Cargo (Request No. 27), "all persons who receive" on MSC's behalf "booking requests" or "notices of space requirements" (Request No. 29), and "all persons who allocate cargo space" (Request No. 30). Further, all relevant individuals who made substantive decisions or communicated substantively regarding MSC's contractual obligations to carry Complainant's Cargo were

identified in the parties' Initial Disclosures. The completeness of the Initial Disclosures was confirmed by MSC's initial and supplemental document production in November 2021.

The order with respect to request 39 and interrogatory 15 cannot serve as a basis for default judgment. Accepting the limitations as to time and scope, the order directs MSC to respond to the requests for information regarding any "other shippers' complaints of similar behavior" from "January 1, 2020, to the present." MSC has confirmed that it has not been the subject of any other shippers' complaints of similar behavior during that period; accordingly, there are no responsive documents or communications to produce.

The order with respect to requests 36-37 likewise cannot serve as a basis for default judgment. The parties have exchanged substantial discovery in this case. Complainant has not and cannot show that not having access to MSC's document retention policies will "severely hamper" its ability to present its claims and defenses; accordingly, no finding of prejudice is appropriate or could justify a default judgment. Complainant has provided no basis to suggest the production described by MSC as having been made is incomplete, much less any basis to suggest there are concerns regarding retention or spoliation of evidence as to which document retention policies would be relevant.

4. Information on cargo capacity, costs, and carriage or non-carriage unrelated to Complainant (Order Categories J and K)(Requests 17-22, 25; Interrogatories 18-19)

MSC's compliance with the Order with respect to requests 17-22, and 25 and interrogatories 18-19 likewise cannot serve as a basis for default judgment. No finding of prejudice can be found because even if MSC were able to provide the information requested regarding cargo capacity, costs, and unbooked space, it would not be material to any claim or defense and it would be unfair to default MSC for not providing information that it could not reasonably provide because

it is not information that MSC reasonably maintains in the course of its business and it is not information that can be reliably recreated.

As noted above, MSC has provided information on when its vessels sailed from Tianjin and Qingdao to the U.S. West Coast during the relevant time period, but cannot reasonably provide information on unbooked or available cargo capacity on its vessels at various prior dates. This information is not readily accessible and is not kept in the ordinary course of its business, and MSC does not have any information system that would allow this information to be readily recreated. Even if MSC were able to spend the time and resources to try to recreate the information requested, the result would likely be incomplete, inaccurate and unreliable, thus, defeating the purpose of creating the information solely for purposes of litigation.

As MSC has explained previously, this is because the notion of “cargo capacity” at any fixed point in time is inherently fluid and is determined by innumerable real-time variables, including where the port of loading is in the vessel’s rotation, conditions at the port of loading, the number of shippers who do not show up with cargo they have booked, the size of the containers presented, the nature of the cargo being loaded (for example, dangerous or out of gauge cargo), and other factors. The information requests incorrectly assume that “available” cargo capacity is static when it is not. Other exogenous factors regularly require dynamic adjustments, including port conditions, weather conditions, and the need to depart a port without full loading to maintain vessel schedules or arrive or depart within port windows. To the extent that the request can be read as seeking information on nominal cargo capacity, that information is not meaningful or useful as no container ship can load cargo in every nominal TEU space as that depends on additional factors such as deadweight capacity and the average weight of a TEU in the trade (which

varies both by trade and by direction). Accordingly, no prejudice should be found because MSC cannot reasonably or reliably provide the information requested.

A finding of prejudice is also inappropriate because Complainant has not and cannot show that not having access to this information will “severely hamper” its ability to present its claims and defenses on liability or damages. Complainant’s Shipping Act claims are all premised on MSC’s alleged failure to provide carriage to Complainant’s cargo at its contracted rates. Issues of absolute capacity, allocation and cost to third parties are of only tangential importance to Complainant’s claims and defenses. If Complainant timely and properly booked its cargo, and it is within the volumes MSC has agreed to carry under the weekly allocations, MSC has an obligation under the OCA to carry it at the contracted rates. This is true whether the vessel is full or empty. Similarly, if Complainant failed to timely and properly book its cargo, it cannot impose on MSC an obligation to carry the cargo. The same is true with respect to costs. A stipulation that MSC charges different rates to different shippers would make no difference to Complainant’s claims and defenses. Complainant can only state a claim if it can prove that it timely and properly booked cargo that MSC had an obligation to carry under its OCA. If Complainant timely and properly booked its cargo, MSC had an obligation under the OCA to carry it at the contracted rates, regardless of the prices charged, the volume, or the MQC promised to any other shipper.

Accordingly, MSC’s compliance with the Order with respect to requests 17-22, and 25 and interrogatories 18-19 cannot serve as a basis for default judgment. No finding of prejudice can be found because even if MSC were able to provide the information requested it would not be material to any claim or defense and it would be unfair to default MSC for not providing information that it could not reasonably provide because it is not information that MSC reasonably maintains in the course of its business and it is not information that can be reliably recreated.

The Order to Show Cause also asks Complainant to provide information as to the amount of its reparations claims. Complainant has the obligation to prove its damages, and this obligation is not affected by the discovery outstanding under the order due to MSC's inability to provide it. MSC has produced the information sought as to its carriage or noncarriage of Plaintiff's cargo, and that is the information that is relevant to its claims for reparations. And again, it is the Complainant that has objected to providing information to these claims, not MSC. MSC has asked for information that would allow an assessment of what Complainant needed to ship, who complainant sought to ship it with, and the alternatives available through other carriers. Indeed, the bulk of Complainant's claims concern the port of Qingdao, and it contracted with MSC for only 20 percent of its carriage from that port, and with other carriers for four times that amount. The information Complainant has refused to provide is of direct relevance to its reparations claims, and the information subject to the motion to compel that has not already been provided is of no obvious relevance to these claims. Even if all the other bases to reject a default judgment in this case did not exist, there would still be no basis for a default judgment ordering payment of reparations.

D. Further consultations would not prejudice the Commission proceedings by imposing an "intolerable burden"

The third factor considered in determining whether to enter a default judgment is prejudice to the tribunal through interference with its ability to manage its docket. In *Reliable Limousine* a default judgment was entered against a defendant who "one month before trial—[] had not responded to any of WMATC's requested discovery." *Reliable Limousine*, 776 F.3d at 5. For this reason, the district court was faced with the "intolerable" choice to "enter default judgment or postpone the trial," thus directly and incurably interfering with its ability to manage its docket. *Id.* (citing *Bristol Petrol. Corp. v. Harris*, 901 F.2d 165, 168 n. 5 (D.C. Cir. 1990) ("[I]n several cases

affirming pre-trial dismissals, courts have featured the fact that the party's delay occurred close to the time of trial and threatened to upset the court's carefully planned calendar.”)). *See Jackson v. Beech*, 636 F.2d 831, 836 (D. C. Cir.1980) (“default judgments were designed to handle [] a totally unresponsive party”) The court of appeals also noted that the Defendant’s “refusal to participate in discovery was not only willful but appeared to be a calculated move to delay for the sake of delay.” *Reliable Limousine*, 776 F.3d at 6.

MSC fully recognizes the Commission’s interest in expeditious resolution of claims on the merits, but respectfully submits that, again, the facts present here do not bear any resemblance to those in which a default judgment has been entered to protect a court’s docket. Here, there is no trial date set, nor any other dates, and there are viable alternatives to resolve the issues in a manner that would allow discovery to move forward without MSC having to be itself make the “intolerable choice” of having to take a default or risk violating Swiss criminal law. The deadline for an initial decision has been extended only once in the case, and is nearly five months off. *See Davis v. D.C. Child & Fam. Servs. Agency*, 304 F.R.D. 51, 62 (D.D.C. 2014)(finding dismissal “inappropriate” when the “court remains capable of managing the delays in the future without prejudicing its own docket.”).

Other factors also distinguish the current situation from those in which a default judgment was considered on the basis of burden to the tribunal. First, to the extent the statutory Consultation procedures of Section 41108(c)(2) are mandatory, as Complainant itself has consistently maintained, the burden is imposed by those procedures themselves. MSC cannot equitably be subjected to sanctions or a default judgment for any delay occasioned by the mandatory statutory process.

Second, in the interests of expedition MSC has worked with the Swiss Federal Office of Justice to facilitate resubmitting the request with the appropriate context to allow an efficient path for further consultations, in parallel or in advance of any mandatory consultations. As discussed above, the Swiss Federal Office of Justice has been made closely aware of the prior request, has confirmed that resubmission is an available process, and provided advice regarding the additional factors that should be addressed in any new submission. MSC expects the Swiss Federal Office of Justice would act promptly if it received a request, and that based on the factors it has identified a properly supported request would be successful. The Geneva Court of First Instance issued its decision in only 30 days. Further consultations could thus be undertaken without imposing an “intolerable burden” on the Commission proceedings or significant delay. MSC has stated its willingness and ability to resubmit the application immediately if authorized.

Finally, further consultations will aid, rather than prejudice, the Commission’s adjudicative process by clarifying the legal status of the Commission’s proceedings. As discussed above, the decision by the Geneva Court of First Instance is premised on a misapprehension of the nature of the Commission proceedings and is contrary to U.S. Supreme Court precedent directly on point. It benefits the Commission to address this erroneous precedent now. In view of the Commission’s role as part of the international ocean transportation supply system, a proper understanding of the Commission’s status and the nature of its proceedings is important for international comity interests with the Swiss government and others, in this case and in the future.

III. The Commission lacks jurisdiction over this proceeding and thus there is no jurisdiction to issue a default order sanction.

MSC understands and respects that Your Honor has determined that because the Second Amended Complaint can be read to state claims under the Shipping Act it is within the Commission’s jurisdiction, notwithstanding that the claims arise directly out of the parties’

contractual relationship, and notwithstanding the Shipping Act's prohibition in 46 U.S.C. § 40502(f) on exercising jurisdiction over claims for breach of a service contract. MSC continues to believe that exercising jurisdiction over this proceeding is inconsistent with Commission precedent that claims that might adequately state a cause of action under the Shipping Act are nonetheless outside its jurisdiction if they are inherently breach of contract claims. *Cargo One v COSCO Containers*, 28 S.R.R. 1635, 1639-40 (FMC 2000).

The Commission has further noted that “for [46 U.S.C. § 40502(f)] to have meaning, it must have been intended to preclude the filing of some complaints of Shipping Act violations, and not just breach of contract claims, as such claims would not be actionable before the Commission in any event.” *Id.*, at 1644. The Commission has thus held that claims “premised on the obligation to meet one's contract commitments” are outside its jurisdiction under 46 U.S.C. § 40502(f). *Id.*, at 1645. The exercise of Commission jurisdiction is also inconsistent with the parties' express agreement that “[a]ny disputes arising out of or in connection with” each of their service contracts should be resolved by binding arbitration.

The conclusion that claims for breach of contract may also state a claim under the Shipping Act does not resolve the issue under this precedent. The Commission expressly held in *Cargo One* that such claims are nonetheless outside its jurisdiction if inherently contractual, and accordingly has dismissed on jurisdictional grounds claims similar to those advanced here. And federal appellate precedent also establishes that noncontractual claims, including claims for violation of a federal statute, fall within a broad arbitration clause covering any disputes arising out of or in connection with a contract that includes an arbitration clause.

Recent action by the Complainant in response to the Order to Show Cause heightens the immediate salience of the jurisdictional issue. Although the arbitration panel's authority to

consider the claims between the parties that “aris[e] out of” or are “in connection with” their contracts is unquestioned, Complainant’s counsel has now asked the arbitration panel to consider a stay of the arbitration on the basis that default sanctions might lead to MSC being “found liable for acting in violation of its filed service contracts,” or a finding that it did not “materially perform[] its obligations under the service contracts at issue.” See Exhibit 3 (September 15, 2022 email to the panel). Complainant’s counsel has thus conceded in the clearest possible terms that its claims here, though couched as Shipping Act violations, directly put before the Commission for decision contractual claims that under the parties’ agreement and the plain language of the Shipping Act are to be decided by the arbitral panel. Complainant’s counsel has further used the pendency of this Commission proceeding to argue that the arbitral panel should refrain from doing its job to decide those contractual claims. This of course has things exactly backwards.

MSC respectfully submits that, consistent with the principle that a tribunal always retains the responsibility to assure itself of its jurisdiction, this issue should now be revisited and, unless the proceeding is dismissed, the issue should be certified to the Commission for determination as to whether the exercise of jurisdiction in this case is consistent with 46 U.S.C. § 40502(f), the Commission’s precedent in *Cargo One* and other cases, and the arbitration clause between the parties.

The Commission’s exercise of jurisdiction over matters that the parties agreed in their contracts to commit to arbitration is also inconsistent with the “federal policy favoring the liberal enforcement of arbitration clauses,” which “applies with particular force in international disputes.” *Paramedics Electromedicina Comercial, Ltda. v. GE Med. Sys. Info. Techs., Inc.*, 369 F.3d 645, 654 (2d Cir. 2004). *JLM Indus., Inc. v. Stolt-Nielsen SA*, 387 F.3d 163 (2d Cir. 2004) held that antitrust claims that depended on a showing of breach of contract must be arbitrated pursuant a

clause that was, like the clause in the contracts at issue in this proceeding, broad in its language. *Id.*, at 172 (noting that arbitration clauses the courts have considered to be “broad” include a clause requiring arbitration of “[a]ny dispute, controversy or claim arising under or in connection with” the agreement)(quoting *Oldroyd v. Elmira Sav. Bank, FSB*, 134 F.3d 72, 75-76 (2d Cir. 1998), *abrogated on other grounds by Katz v. Celco Partnership*, 794 F.3d 341 (2d Cir. 2015)). Arbitration was ordered in that case despite the strong federal policies expressed in the antitrust laws; indeed the claims in that case arose out of a price fixing conspiracy that the Justice Department prosecuted criminally.

Recognizing and giving force to an arbitration clause as required under the Federal Arbitration Act thus in no way suggests that Shipping Act claims that may overlap with contractual claims are unimportant; it merely requires that these claims be considered in the proper forum. *See also Mehler v. Terminix Int'l Co.*, 205 F.3d 44, 50 (2d Cir. 2000) (“[I]t is clear that we have not limited arbitration claims to those that constitute a breach of the terms of the contract at issue.”); *Genesco, Inc. v. T. Kakiuchi Co.*, 815 F.2d 840, 846 (2d Cir. 1987), *abrogated on other grounds by Rodriguez-Depena v. Parts Authority, Inc.*, 877 F.3d 122 (2d Cir. 2017)(“In determining whether a particular claim falls within the scope of the parties' arbitration agreement, we focus on the factual allegations in the complaint rather than the legal causes of action asserted. If the allegations underlying the claims ‘touch matters’ covered by the parties' sales agreements, then those claims must be arbitrated, whatever the legal labels attached to them.”)(internal citation omitted).

Stolt-Nielson required arbitration of antitrust claims arising out of the parties’ contractual relationship even though the plaintiff in that case contended that it was damaged by a “conspiracy which was formed *independently* of the specific contractual relations between the parties.” *Stolt-*

Nielsen, 387 F.3d at 175. The plaintiff “could not have suffered these damages if it had not entered into the . . . contracts,” and therefore the claims were arbitrable. *Id.*

Finally, where claims are asserted to be subject to arbitration, any ambiguity must be resolved in favor of arbitration. *Hartford Acc. and Indem. v. Swiss Reinsurance*, 246 F.3d 219, 227 (2d Cir. 2001). See *AT&T Technologies, Inc. v. CWA*, 475 U.S. 643, 650 (1986)(“[W]here the contract contains an arbitration clause, there is a presumption of arbitrability in the sense that ‘[a]n order to arbitrate the particular [claim] should not be denied unless it may be said with *positive assurance* that the arbitration clause is not susceptible of an interpretation that covers the asserted dispute. Doubts should be resolved in favor of coverage.”)(emphasis added).

In seeking to stay the arbitral proceedings in favor of default proceedings in a nonarbitral forum, Complainant has reversed the proper course of proceedings, and highlighted the jurisdictional defect in this proceeding. A default judgment cannot be issued by a tribunal that lacks the jurisdiction to issue it.

CONCLUSION

There is no basis for entry of a default judgment in this proceeding. Instead, available procedures and consultations should be pursued with the Swiss government to resolve the legal issues presented under Swiss law as to the outstanding production.

Respectfully submitted,

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Dated: September 22, 2022

CERTIFICATE OF SERVICE

I certify that, on September 22, 2022, a true and current copy of the foregoing Respondent MSC Mediterranean Shipping Company S.A.'s Response to Order to Show Cause was served via electronic mail on the following:

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Exhibit “1”

M E M O R A N D U M

To MSC Mediterranean Shipping Company SA
Proceedings Docket No. 21 -05
MCS Industries, Inc. v. MSC Mediterranean Shipping Company SA
Date 22 September 2022
Reference 221070/SW-06627743/LBU

I. INTRODUCTION

- 1 We have been asked by MSC Mediterranean Shipping Company SA ("**MSC**") to assess the situation under Swiss law further to the order of 8 September 2022 denying MSC's motion for an extension of time and providing that in two weeks' time "*MSC Mediterranean Shipping either provide the required discovery or show cause why default judgment should not be entered against it.*"¹
- 2 In particular, MSC has asked us to outline what would be the risks under Swiss law should it be forced to comply with this order. This Memorandum supplements our Memorandum on Swiss Law of 21 December 2021 (Appendix 2) as well as our Second Memorandum on Swiss Law of 4 April 2022 (Appendix 3).

II. ASSESSEMENT OF MSC'S CURRENT SITUATION WITH REGARD TO SWISS LAW

1. Mutual Legal Assistance Route

- 3 As outlined in our memorandum of 21 December 2021 (Appendix 2, p.2), the central issue that arises when a Swiss-based party is ordered to produce documents by a foreign judge is whether such production complies with Article 271 of the Swiss Criminal Code ("**SCC**").
- 4 For an act to be illegal under Article 271 SCC it must:
 - a. fall within the competence of a public authority from a Swiss legal perspective, or, in other words, be an act the performance of which is reserved to Swiss authorities pursuant to Swiss law;

¹ A summary of the relevant facts is included in Appendix 1 to this Memorandum.

- b. be made in favor of a foreign State, *i.e.*, in the interest of a non-Swiss public authority, or in connection with proceedings conducted by or on behalf of such non-Swiss authority (*e.g.*, a foreign court, government body, or public official);
 - c. occur on Swiss territory; and
 - d. be made without due authorization by a competent Swiss authority or without recurring to the channels of international judicial assistance.
- 5 With regard to the question of acting without an authorization (d), it should be recalled that the usual way to avoid a risk under Article 271 SCC would be to use the channels of international judicial assistance. In fact, the acts carried out within the framework of mutual assistance - and, in particular, the taking of evidence - are deemed to have been authorized by a Swiss authority within the meaning of Article 271 SCC, since their execution is ordered by a Swiss court. This applies in particular to the mutual assistance procedure provided for in the Hague Evidence Convention.
- 6 As a reminder, from a Swiss law perspective, the Hague Evidence Convention is exclusively applicable among Contracting States as regards the taking of evidence (irrespective of the position of a Contracting State concerning the exclusive application of the Hague Evidence Convention).
- 7 Therefore, whenever applicable, priority shall be given to the procedures provided in the Hague Evidence Convention, and any attempt to circumvent the foregoing would fall within the scope of Article 271 SCC.
- 8 It must therefore be examined whether such a convention applies in this case or whether - as the Court of First Instance erroneously held - it does not. This examination will be carried out by determining whether or not the case is of a civil or commercial nature within the meaning of the Hague Evidence Convention.
- 9 In its response to our request for information, the FOJ confirmed on 6 September 2022 that a new request for mutual assistance can be submitted. The relevant criteria for determining whether a request for mutual assistance falls under the notion of a civil or commercial matter under the Hague Evidence Convention were also outlined in the FOJ's answer (Appendix 4, Email of the FOJ of 6 September 2022).
- 10 These criteria were reviewed point by point by MSC's U.S. counsel, who provided us with the following conclusions:
- e. Is it a dispute originating from an (alleged) breach of a contract between the parties?
Yes. The complaint begins by referencing the contract(s) at issue, and refers throughout to MSC's alleged failures to comply with the contract.
 - f. Does the contract concern a matter of civil law and/or private law?
Yes, it is a private civil reparations (damages) action. The U.S. Supreme Court case of Federal Maritime Commission v. South Carolina State Ports Authority, 535 U.S. 743,

759, 122 S. Ct. 1864, 152 L. Ed. 2d 962 (2002) states that "the similarities between FMC proceedings and civil litigation are overwhelming." This is settled law in the United States.

- g. Are the contracting parties subjects of private law?

Yes.

- h. What is the nature of the legal relationship between the parties from which the claim being pursued in court arises?

The parties' legal relationship arises out of a series of contracts between the parties.

- i. Are the parties to the dispute on an equal footing?

Yes, their relationship is based on a private contract negotiated at arms' length between commercial parties.

- j. Is this taking place before a neutral authority that performs judicial functions and evaluates the subject matter of the dispute?

Yes. The U.S. Supreme Court case of Federal Maritime Commission v. South Carolina State Ports Authority, 535 U.S. 743, 757, 122 S. Ct. 1864, 152 L. Ed. 2d 962 (2002) notes in the context of FMC proceedings "the numerous common features shared by administrative adjudications and judicial proceedings":

There can be little doubt that the role of the modern federal hearing examiner or administrative law judge is "functionally comparable" to that of a judge. His [sic] powers are often, if not generally, comparable to those of a trial judge: he may issue subpoenas, rule on proffers of evidence, regulate the course of the hearing, and make or recommend decisions. More importantly, the process of agency adjudication is currently structured so as to assure that the hearing examiner exercises his independent judgment on the evidence before him, free from pressures by the parties or other officials within the agency.

[F]ederal administrative law requires that agency adjudication contain many of the same safeguards as are available in the judicial process. The proceedings are adversary in nature. They are conducted before a trier of fact insulated from political influence. A party is entitled to present his case by oral or documentary evidence, and the transcript of testimony and exhibits together with the pleadings constitute the exclusive record for decision. The parties are entitled to know the findings and conclusions on all of the issues of fact, law, or discretion presented on the record.

(quoting Butz v. Economou, 438 U. S. 478, 513-14 (1978)).

- k. Does the dispute concern the existence or non-existence of private legal rights and relationships between parties of the same rank?

Yes.

- l. Could the same subject matter of the dispute have been brought alternatively before an ordinary court (in the classical sense)?

Yes. Where, as here, the contracts have an arbitration clause it could also be brought, as it has been here, before a private arbitration panel.

- m. Are the proceedings unilaterally initiated by an authority against a party, e.g. in order to meet supervisory or public law requirements?

No. The proceeding was instituted by a private party. The judge presiding over the proceeding has expressly stated that "[a]n FMC investigation cannot be ordered through a formal proceeding," such as the one at issue.

- n. Is there a relationship of subordination between the parties and the authority?

Only in the same manner that parties are subject to the authority of the judge in a civil proceeding.

- o. Can the authority decide concrete legal questions with binding effect on the parties to the proceedings or does it merely assume investigative tasks?

Yes, the judge presiding over the proceeding can decide, subject to appeal, concrete legal questions with binding effect on the parties.

No, the judge cannot assume investigative tasks, and her most recent order confirms that "[a]n FMC investigation cannot be ordered through a formal proceeding," such as the one at issue.

- p. Is it also or mainly the defense of public interests, public law or criminal law?

No, it is a private action seeking private relief. The complaint does seek an investigation, but the judge has confirmed that "[a]n FMC investigation cannot be ordered through a formal proceeding," such as the one at issue.

- q. Is the complaint also filed on behalf of the state or a government?

No.

- r. Is the complaint filed on the initiative of a supervisory authority?

No.

- s. What is the nature of the claim?

The Amended Complaint seeks damages and certain findings resulting from MSC's alleged failure to perform its contractual duties.

- t. What is being sued for, what is the plaintiff asking for, what are his or her claims?

The Amended Complaint seeks damages and certain findings resulting from MSC's alleged failure to perform its contractual duties, in particular, MSC's supposed failure to provide contractually agreed space. Count I of the Amended Complaint alleges that

MSC had a "practice" of unreasonably failing to comply with its contractual obligations. Count II pleads MSC's supposed failure to operate in accordance with service contracts between the parties. Counts III and IV allege that the terms of Complainant's contract are not as favorable as those of contracts MSC has offered other shippers. Count V alleges that MSC refused to deal properly with Complainant under its contracts (even though Complainant accepted only about half of the space MSC offered.

u. Is it damages for breach of contract, for an unlawful act?

Yes.

v. Are other sanctions foreseen?

Other than damages, known at the FMC as reparations, the only other relief sought is a finding of the violations of the Shipping Act alleged above, which all relate to the contracts between the parties, and an order to cease and desist from further violations of the Act.

w. Is it an action for damages that should not only benefit the plaintiff, but also the state?

Any reparations awarded would go to the Complainant. None would go to the state.

x. Are the proceedings primarily public law or criminal law in nature?

No, it is a private reparations action.

y. It should not be based solely on the designation, name or character of the requesting authority; it is not excluded that a judge of the Office of the Administrative Law Judges of the US Federal Maritime Commission may, in a particular and specific case, conduct a proceeding that may be characterized as a civil and commercial case within the meaning of the CLaH.70.

As noted above, the U.S. Supreme Court case of Federal Maritime Commission v. South Carolina State Ports Authority, 535 U.S. 743, 759, 122 S. Ct. 1864, 152 L. Ed. 2d 962 (2002) states that "the similarities between FMC proceedings and civil litigation are overwhelming." This is settled law in the United States.

11 In light of the criteria set forth by the FOJ and based on the answers provided to us by MSC US counsel in connection with (i) the grounds of the dispute (ii) the nature of the claims (iii) the status of the parties (iv) the procedural regime applicable to the case as well as (v) the powers available to the authority responsible for deciding the dispute, it is our clear view that the case at hand is of a civil or commercial nature and falls within the scope of the Hague Evidence Convention.

12 However, as a result of the Court of First Instance's (erroneous) decision to reject the request for mutual assistance and of the Judge's refusal to resubmit such a request, MSC finds itself in a difficult situation, since the correct path would be that of mutual assistance, but cannot be followed.

- 13 This Court of First Instance decision does not change the fact that MSC is still subject to the risk of being charged with a violation of Article 271 SCC if it complies with the order of the Judge requesting the production of the discovery. This is especially true since the decision of the Court of First Instance has no *res iudicata* effect and does not in any case decide the question of the risk on sanctions under Article 271 SCC. If anything, the Court of First Instance decision actually enhances the risks for MSC of violating Article 271 SCC either by circumventing the channels of mutual assistance (if the Swiss criminal authorities were to consider - as we do - that the matter is ultimately to be considered civil or commercial in nature) or by proceeding without any type of authorization, including that which might apply in the case of voluntary disclosure (but which is in our view excluded in this case by the mere presence of a compelling order), since such an exception only comes into play when the party is subject to civil procedural sanctions.

2. Other advantages of the mutual assistance procedure

- 14 As mentioned above, the risks related to the violation of Art. 271 are the primary risks that a Swiss party faces when it has to contemplate responding to a production order from a foreign authority. However, this is not the only risk.
- 15 Pursuant to Article 273 SCC, any person or entity who makes a manufacturing or trade secret available to a foreign official agency, a foreign organization, a private enterprise, or the agents of any of these may be held criminally liable.
- 16 The notion of secrecy under Article 273 SCC covers facts of economic life (i) which are secret, i.e. not generally known or accessible (ii) for which there is a legitimate interest in maintaining secrecy (need for protection) (iii) and for which the will to maintain secrecy is expressly or tacitly manifested (will to maintain secrecy).
- 17 In addition, secrets covered by Article 273 must (iv) be a manufacturing or trade secret and (v) have a sufficiently close connection to Switzerland, when the secret is primarily of private nature.
- 18 The latter condition arises from the fact that the secrets protected by Article 273 SCC can be of two types: (i) secrets of national importance for the sovereignty and economy of Switzerland and (ii) secrets of a private nature which concern Swiss persons or entities or those domiciled in Switzerland (and whose disclosure may have a material impact on national economic interests). The Swiss state has an interest in ensuring that economic actors under its jurisdiction are protected against the disclosure of trade secrets.
- 19 Article 273 SCC is based on the principle that economic espionage, while harming the interests of a private company, simultaneously affects the general interests of the Swiss economy.
- 20 The law distinguishes between manufacturing secrets and trade secrets. Manufacturing secrets relate to the way a product is made (technical know-how), while trade secrets,

- concern confidential information relating to commercial activities, such as price calculations, agreements with customers or suppliers, banking relations or salaries.
- 21 In our view, information on the company's organization and internal processes, which are not generally known and freely accessible to the public are manufacturing secrets within the meaning of Article 273 SCC.
- 22 As a result of the potential dual nature of the secrets covered by Article 273 SCC (secrets of national importance for the sovereignty and economy of Switzerland and/or secrets of a private nature), the willingness to maintain secrecy within the meaning of Article 273 SCC must be analyzed both at the level of the State (since Article 273 SCC aims to protect the interests of the State) and at the level of the private (natural or legal) persons concerned.
- 23 The question of the willingness to maintain secrecy is directly linked to the question of the (possible) lifting of secrecy, which can be summarized as follows:
- 24 If the person making the disclosure has a sole interest in maintaining the secrecy, he or she may freely decide to reveal it, which is not possible when the secret information also concerns the State and/or third parties.
- 25 In other words, Article 273 SCC prohibits the disclosure of information abroad, even in the event of an *ad hoc* authorization under Article 271, if:
- Switzerland, as a political or economic entity, has a direct interest in maintaining secrecy; or
 - third parties with an interest worthy of protection in maintaining secrecy have not given their prior consent to disclosure.
- 26 Any person who would provide information in breach of Article 273 SCC would be subject to ex officio criminal prosecution and risk imprisonment of up to three years as well as monetary fines.
- 27 As for its territorial scope of application, and in accordance with Article 4 SCC (which provides that the SCC applies to any person who commits a felony or misdemeanour against the state or its national security), Article 273 SCC it also applies to actions taken outside the Swiss territory. By contrast, according to Art. 14 SCC (which provides that any person who acts as required or permitted by the law, acts lawfully even if the act carries a penalty under the SCC) the transmission through the framework of mutual legal assistance of information that falls within the scope of Article 273 SCC prevents criminal prosecution for violation of this provision.
- 28 Finally, we should add that if a disclosure of data to a foreign state does not take place within the framework of mutual legal assistance, the person concerned does not benefit from all the exemptions from liability that are attached to this regime, in particular with regard to data protection. Outside the scope of this regime, a person or entity subject to

Swiss jurisdiction is indeed prohibited from communicating personal data of third parties abroad without their prior consent.

29 On the basis of the material in our possession, we understand that MSC has, among other things, been ordered to produce non-publicly available documents, including data relating to the company's finances and structure², or data identifying third parties³.

30 In accordance with the foregoing, we therefore consider that the production of discovery outside the scope of mutual legal assistance in civil matters could not be carried out without exposing MSC to a substantial risk of being held responsible for violations of the applicable Swiss rules, and in particular of the outlined provisions.

3. *Ad hoc* authorization

31 Apart from the channels of mutual assistance, a mean of avoiding the risk of a violation of Article 271 SCC would be to obtain an *ad hoc* authorization (waiver) from the competent Swiss federal authorities (*i.e.* the Swiss Federal Department of Justice and Police). The authority may grant such an authorization after having weighed the interests of preserving the territorial integrity and sovereignty of the State on the one hand, and the interest of cooperating with foreign authorities on the other, while considering the interests of the individuals concerned. In this respect, the authority enjoys a broad discretionary power, since Article 271 SCC does not provide specific guidelines as to the conditions under which an authorization is to be granted.

32 In practice, it is only in exceptional circumstances that Swiss federal authorities accept to grant such waivers. In particular, the granting of a waiver is intended only for cases that do not fall within the scope of mutual legal assistance. More specifically, the practice of the Swiss federal authorities is to deny waiver applications unless the mutual legal assistance route is excluded for fundamental reasons or is practically impossible. A waiver can therefore not constitute an alternative path to mutual legal assistance, as a circumvention of mutual legal assistance would itself constitute a violation of Article 271 SCC. The risk of this type of violation would be especially relevant here because MSC has confirmed by its inquiries to the FOJ and in its representations to the FMC that it genuinely believes the Hague Evidence Convention does apply.

33 Furthermore, even if an *ad hoc* authorization were available in these circumstances, for the reasons stated above it is not, it would not eliminate the risk of breaching other Swiss legal provisions, as an individual authorization granted by the FOJ waives only sanctions related to Article 271 SCC. Such a waiver has no impact on other possible violations of Swiss law provisions, such as other blocking statutes. In particular, contrary to Article 271 SCC, Swiss law does not provide any waiver mechanism for Article 273 SCC.

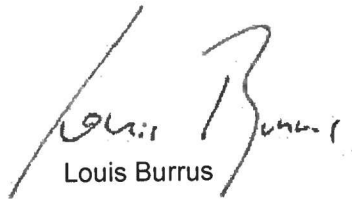
² See, in particular, Requests 31 through 35 of the Motion to Compel of 22 November 2022.

³ See, in particular, Requests 20 through 25 of Motion to Compel of 22 November 2022.

- 34 In the case at hand, we consider for the reasons set out above that the Hague Evidence Convention is applicable and that as a consequence an *ad hoc* authorization would in all likelihood be refused.
- 35 We are therefore of the opinion that at this stage the best and most straightforward option is to file a new request for mutual assistance, setting out in a cover letter the reasons why the proceedings before the FMC are civil or commercial in nature.

Date: 22 September 2022

Location: Geneva, Switzerland



Louis Burrus



Giulia Marchettini

APPENDIX 1

SUMMARY OF THE DISPUTE

1. Background

- 1 MSC Mediterranean Shipping Company SA (hereinafter: "**MSC**") is being sued in a private (*i.e.* nongovernmental) reparations action before the U.S. Federal Maritime Commission (the "**FMC**") by MCS Industries, Inc. ("**MCS Industries**"), with which it was engaged in a contractual relationship.
- 2 Based on the information provided to us by MSC's U.S. counsels, we understand that these proceedings are based on alleged violations of the United States Shipping Act of 1984, 46 U.S. Code Sections 40101 et seq. The complainant is asserting civil claims before the FMC based on alleged contractual violations committed by MSC, which they allege also violate the aforementioned act. The case has initially been assigned for hearing before Judge Erin M. Wirth (the "**Judge**"), of the Office of Administrative Law Judges (the "**ALJ**"), which is a sub-section of the FMC.
- 3 The FMC is an independent federal agency responsible for regulating the U.S. international maritime transportation system for the benefit of U.S. exporters, importers and consumers. Among other things, the FMC is responsible for protecting the general public from financial damages, contributing to the integrity and security of the U.S. supply chain and transportation system and, in particular:⁴
 - i. to assist in resolving disputes concerning the shipment of cargo, personal or household goods, or disputes between vessel operators and passengers;
 - ii. to investigate and rule on complaints regarding rates, charges, classification and practices of common carriers, multimodal carriers and shipping intermediaries that violate the Shipping Act of 1984.
- 4 Within the FMC, the ALJ is responsible for handling and ruling on complaints from any individual or company that fails to resolve a dispute involving a possible violation of the US Shipping Act. The ALJ may issue orders, including setting deadlines for the parties to file evidence. The parties themselves may file motions requiring the judge to take certain actions. Litigation may be resolved by written proceedings, but the ALJ also has the power to hold hearings, at which witnesses appear in person and give testimony under oath.⁵
- 5 The ALJ decides cases brought before it by issuing a decision resolving the dispute or by approving the agreement reached between the parties. Exceptions to the ALJ's initial decision may be made to the FMC by the parties within 22 days of the initial decision, or the initial decision may be reviewed by the FMC on its own motion. The ALJ's initial

⁴ <https://www.fmc.gov/about-the-fmc/>, accessed on 20 September 2022.

⁵ <https://www.fmc.gov/about-the-fmc/bureaus-offices/administrative-law-judges/>, accessed on 20 September 2022.

decision becomes administratively final 30 days after the date of issuance, if no appeal or review is requested.

- 6 With regard to the nature of the proceedings before this authority, we understand from the information provided to us by MSC's US Counsels that the Supreme Court of the United States considered that a private reparations action brought before the Commission is of the same nature as a civil proceeding in a court. The Court held that "*the similarities between FMC proceedings and civil litigation are overwhelming*".⁶ In the same decision, the U.S. Supreme Court also noted that the discovery process before the FMC largely mirrored that used in federal civil litigation, since in both cases the parties could conduct depositions and discover evidence, including by submitting interrogatories or requesting another party to produce documents. Similarly, the Supreme Court pointed out that a party who fails to comply with discovery orders in an FMC proceeding is subject to various sanctions, including the entry of default judgment, in the same way as in civil proceedings.

2. The production of documents ordered to MSC

- 7 By motion to compel of 22 November, MCS Industries has requested the Judge to order the taking of evidence both in the United States and in Switzerland. In particular, the production of a wide range of internal business documents (including financial statements and documents containing third-party data) has been solicited from MSC.
- 8 On 8 December 2021, the Judge granted MCS Industries' motion and ordered MSC to produce the requested documents, within the scope, however, of the time, space and material limitations sought by the latter.
- 9 On 25 February 2022, a first memorandum on Swiss law was filed with the Judge as attachment to MSC's notice and update on joint status. This document outlined the taking of evidence under Swiss law and the necessity to proceed through mutual legal assistance, in particular to ensure that MSC does not violate Swiss law (in particular Article 271 of the Swiss Criminal Code) by producing documents in foreign judicial proceedings.
- 10 On 4 March 2022, the Judge issued an order asking the parties to discuss and provide advice as to whether compliance with the Swiss legal procedure to obtain the discovery at issue should take place by use of a Commissioner, rather than the use of traditional letters of request. On 4 April 2022, a second memorandum on Swiss law, addressing the issue pertaining to the use of a commissioner, was filed with the Judge in support of the joint status report of the parties.
- 11 On 31 May 2022, the Judge submitted (through MCS Industries' counsels) a letter of request pursuant to the Convention of 18 March 1970 on the Taking of Evidence Abroad in Civil or Commercial Matters (the "**Hague Evidence Convention**") with the Geneva Court of First Instance, requesting that the court direct MSC to provide documents and

⁶ Federal Maritime Commission v. South Carolina State Ports Authority, 535 U.S. 743, ad 759 122 S. Ct. 1864, 152 L. Ed. 2d 962 [2002]).

electronically stored information and to respond in writing under oath to requests for information.

- 12 By decision of 29 June 2022, the Court of First Instance denied the request on the grounds that the proceeding for which assistance was sought was an administrative proceeding, heard by an administrative judge attached to the U.S. Federal Maritime Commission. Consequently, the court considered that it did not pertain to a civil or commercial matter and thus fell outside the scope of the Hague Evidence Convention, which implied that the request for mutual legal assistance could not be enforced.
- 13 On 15 July 2022, MSC and MCS Industries filed a joint status report with the Judge stating that the letter of request was denied by the Swiss court. As it considered the decision of the Court of First Instance to be erroneous with regard to the applicability of the Hague Evidence Convention, MSC asserted that a new letter of request should be submitted. MCS Industries, for its part, asserted that the Department of State should be contacted to request assistance to obtain discovery, pursuant to the mandatory procedures set forth in 46 U.S.C. Section 41108(c)(2). However, by order of 29 July 2022, the Judge denied the possibility to resubmit a request for assistance and ordered MSC to provide the discovery by 29 August 2022.
- 14 Following this decision, MSC has reached to the Swiss Federal Office of Justice (the "**FOJ**"), in order to obtain clarifications on the scope of the Hague Evidence Convention. A request to this effect was sent to the International Judicial Assistance Division of the FOJ by email of 11 August 2022.
- 15 On 25 August 2022, MSC requested an extension of its time for compliance with the 29 July 2022 order requiring production of discovery, so that it could receive the advice of the FOJ and propose a path forward that allows it to provide discovery in compliance with Swiss criminal law.
- 16 The FOJ replied to the request for information on 6 September 2022, stating that a new request for mutual assistance could be submitted. The relevant criteria for determining whether a request for mutual assistance falls under the notion of a civil or commercial matter under the Hague Evidence Convention were also outlined in the FOJ's answer.
- 17 On 6 September 2022, the FOJ's answer was forwarded to the Judge. On 8 September 2022, the Judge entered an order denying MSC's motion for an extension of time and providing that in two weeks' time, *i.e.* by 22 September 2022, "MSC Mediterranean Shipping either provide the required discovery or show cause why default judgment should not be entered against it." The order dismissed the FOJ advice as "merely identifying] the process for resubmitting a request and the factors that may be taken into account, without any discussion of the merits of this proceeding".

Exhibit “2”

Legal Opinion

for Submission in the Proceedings Before the Federal Maritime Commission

**MCS INDUSTRIES, INC.,
- Complainant -**

v.

**COSCO SHIPPING LINES CO., LTD. AND
MSC MEDITERRANEAN SHIPPING COMPANY S.A.
- Respondents –**

Docket No. 21-05

Delivered on Behalf of Respondent MSC Mediterranean Shipping Company SA

by

**Professor Dr. Carlo Lombardini
and
Professor Dr. Alain Macaluso**

September 22, 2022

I. Introduction and Scope of the Opinion

The authors of this legal opinion are Professors of Law at the University of Lausanne. Professor Carlo Lombardini is a Professor of Banking Law. His list of publications is available at the following website:

<https://www.ptan.ch/en/team/carlo-lombardini/>

Professor Alain Macaluso is a Professor of Criminal Procedure and Criminal Law. His list of publications is available at the following website:

<https://applicationspub.unil.ch/interpub/noauth/php/Un/UnPers.php?PerNum=880662&LanCode=37&menu=pub>

Both authors are also law partners with the law firm Poncet, Turrettini in Geneva.

In their practice, the undersigned have regularly provided legal advice to legal entities or physical persons based in Switzerland that were facing situations similar as the one presently faced by MSC Mediterranean Shipping Company SA ("**MSC**"), i.e. a conflict between (i) the obligation to produce documents under the order of a foreign authority and (ii) the requirements set by Swiss criminal law that need to be respected and which we will explain further on this opinion.

Specifically, MSC has asked us to **comment on the following questions**:

1. whether MSC, or, more specifically, MSC's representatives and employees, are subject to potential exposure under Swiss criminal law if MSC complies with the Federal Maritime Commission's ("**FMC**") Order Granting Complainant's Motion to Compel Discovery dated December 8, 2021 (the "**Order**") outside official procedures, such as for example the Hague Convention of 18 March 1970 on the Taking of Evidence Abroad in Civil or Commercial Matters (the "**Hague Convention**");
2. whether, in the present case, the Hague Convention would provide MSC with a clear path to proceed without criminal legal risk.

For our analysis, MSC has provided us with the following documents:

- Verified amended complaint of MCS Industries, Inc. (MCS) dated December 23, 2021;
- MCS's Requests for Production dated September 24, 2021;
- MCS's Motion to Compel dated 22 November 2021;
- Declaration of Matthew J. Reynolds in support of Motion to Compel dated 22 November 2021;
- the FMC's Order Granting Complainant's Motion to Compel Discovery dated December 8, 2021 (see above, the "**Order**");

- Schellenberg Wittmer's 1st Memorandum on Swiss Law dated December 21, 2022;
- Schellenberg Wittmer's 2nd Memorandum on Swiss Law dated April 4, 2022;
- FMC's Order Granting a Request for a Letter of Request Under Hague Convention dated May 4, 2022;
- the Decision of the Tribunal de première instance of Geneva dated 29 June 2022 rejecting mutual assistance under the Hague Convention (the "**TPI Decision**");
- the FMC's Order Requiring Production of Discovery dated July 29 2022; and
- the FMC's Order Denying Respondent's Motion for an Extension of Time and Order to Show Cause dated September 8, 2022.

II. Executive Summary of Our Opinion

1. Based on (i) the Order compelling MSC to produce documents, (ii) the TPI Decision, and (iii) the extremely broad scope of the requests for document production, we believe that MSC faces a significant risk of violating Swiss criminal law by producing documents outside the appropriate mutual assistance channels.
2. The mutual assistance channels, specifically a request for mutual assistance under the Hague Convention, would provide MSC with a clear path to proceed without the risk of criminal liability. It is still possible to pursue these channels through a request submitted to the Swiss Federal Office of Justice, irrespective of the TPI Decision, which we find has incorrectly assessed the nature of the FMC proceedings (which are civil proceedings) and has not finally disposed of the question because it has no *res judicata* effect.

III. Analysis

1. General Considerations

Pursuant to the Order, MSC is required to produce extensive information and numerous documents.

This includes the production of documents and information relating to third parties, employees, customers or partners of MSC (e.g. item 15, item 20, item 21, item 22, item 28, item 29, item 30).

Other requests concern (i) the production of information and documents containing general information from MSC on its commercial policy, (ii) the transport capacity of its ships, prices charged to third parties, etc. (e.g. at 16, 17, 18, 19, 20, 21, 22) (iii) its commercial and financial results or ownership structure (at 31, 32, 33, 34, 35) or (iv)

its internal policies and guidelines (at 36, 37). None of this information is publicly available.

Our opinion covers the Swiss law issues raised by compliance with the Order and the risks that individuals at MSC in Switzerland face when executing this Order.

In Switzerland, obtaining evidence for court proceedings constitutes an exercise of public power. The exercise of any state government's public power is limited to its own territory.

Consequently, the authority of a foreign state cannot compel a Swiss entity to provide documents/information located in Switzerland. A foreign authority must comply with the mechanisms of international judicial assistance in civil matters in order to avoid that the Swiss entity commits an offense under Swiss law.

The Swiss Federal Office of Justice ("FOJ"), in the 3rd edition (2003, latest update January 2013) of its Guidelines on International Mutual Assistance in Civil Matters states that international judicial assistance in civil matters forms part of the law on international civil procedure, which deals with questions relating to the international competence of the courts; it includes, in particular, the service of judicial and extra-judicial documents as well as the obtaining of evidence, based in particular on The Hague Convention of 18 March 1970 on the taking of Evidence abroad in civil and commercial matters.

Furthermore, the FOJ recalls that *"According to the Swiss view, the service of judicial or extra-judicial documents as well as the obtaining of evidence for court proceedings constitute the exercise of public powers (on the subject of service see Federal Supreme Court Decision 124 V 47). Accordingly, these procedures cannot simply be undertaken from beyond the frontiers of the state concerned without authorisation. The authority in question must therefore resort to the mechanisms of assistance, otherwise it will violate the sovereignty of the state in which it is carrying out these acts"*.

Among other provisions, Articles 271 and 273 of the Swiss criminal code ("**SCC**") particularly protect Swiss sovereignty, as further explained below.

2. Risk under Article 271 of the Swiss Criminal Code

Article 271 para. 1 SCC provides the following:

"Any person who carries out activities on behalf of a foreign state on Swiss territory without lawful authority, where such activities are the responsibility of a public authority or public official, any person who carries out such activities for a foreign party or organization, any person who encourages such activities, shall be liable to a custodial sentence not exceeding three years or to a monetary penalty, or in serious cases to a custodial sentence of not less than one year".

The purpose of this provision is to protect Swiss sovereignty and Swiss independence; it indirectly sets the principle that no foreign state can take actions that imply the exercise of its own sovereignty on Swiss soil (GAUTHEY/MARKUS, Zivile Rechtshilfe und

Artikel 271 Strafgesetzbuch, *in* Revue de droit Suisse (RDS), Band 134 (2015), pp. 369 ss; HUSMANN, *in* Basler Kommentar, Strafrecht II (BSK StGB), 4th ed., Basel 2019, Article 271 N 5-6 and 8; FISCHER/RICHA *in* Commentaire romand du Code pénal II (CR CP II), article 271 N 1; DUPUIS/GELLER AND AL., *Petit commentaire du Code pénal* (PC CP), 2nd edition, Basel 2017, Article 271 N 1; HOPF, *in* Basler Kommentar, Strafrecht II ("BSK Strafrecht II 2007"), 2nd ed., Basel 2007, Article 271 N 5-6; Swiss Federal Criminal Court (SFCC), judgment of October 5th, 2012, BB.2012.117, rec. 1.4; Swiss Federal Tribunal (Swiss Supreme Court - SFT, judgment of November 6th, 2008, 6B_402/2008, rec. 2.3.2; SFCC, judgment of January 31st, 2007, BB.2006.129, rec. 3.3; SFT, judgment of December 9th, 2003, published *in* SJ 2004 I 229, rec. 1.3).

Article 271 SCC punishes whoever performs on Swiss territory, without authorization, an act that, pursuant to the Swiss legal system, is reserved to a public authority, such as the taking of evidence. Article 271 SCC also punishes the mere fact of taking any action that would *facilitate* such act. The perpetrator of the offense is, therefore, not exclusively the individual or entity executing an act of public authority on Swiss territory, but also whoever supports or otherwise gives assistance to such person (PC CP, Article 271 N 10; CORBOZ, Article 271 N 5). The person complying with a foreign authority's order and deciding if documents and information shall be submitted to a foreign authority can violate Article 271 SCC.

Article 271 SCC punishes an act that has to be considered, from a Swiss perspective, as an act of public authority by its nature: it does not matter whether it is done by a civil servant or a private person: **what matters is the nature of the act** (BSK StGB-HUSMANN, Article 271 N 10; CR CP II-FISCHER/RICHA, Article 271 N 10; PC CP, Article 271 N 5; CORBOZ, Article 271 N 1; BSK Strafrecht II 2007-HOPF, Article 271 N 11 and 14; Swiss Federal Tribunal Register ("SFTR"), 114 IV 128 rec. 2b-c).

The collection of evidence, typically by way of a witness examination or a document production request, is characterized under Swiss law as an act of public authority by its nature, which may only be performed in Switzerland by domestic courts and authorities (BSK StGB-HUSMANN, Article 271 N 26; PC CP, Article 271 N 8; FISCHER/RICHA, U.S pretrial discovery on Swiss Soil, Basle 2010, N 118; BSK Strafrecht II 2007-HOPF, Article 271 N 15; SFCC, judgment of July 7th, 2000, 9X.1/1999, rec. 6b).

In its 2013 Guidelines, the FOJ seems to consider that a party to foreign proceedings located in Switzerland may collaborate in the foreign proceedings as long as the refusal to cooperate only has consequences under the laws of civil procedure (e.g., admission of the fact alleged by the other party in the absence of counter-evidence). If the refusal to cooperate leads to sanctions that go beyond the scope of civil procedural law (e.g. criminal proceedings for contempt of court), then cooperation with the foreign proceedings is subject to compliance with the mutual assistance procedure (CR CP II-FISCHER/RICHA, Article 271 N 26; see also the decision published in JAAC VPB 1/2016).

We note that the 2013 FOJ Guidelines alone are not sufficient to assess the risk of criminal liability and should be read and interpreted in accordance with the most recent case law.

The authors of this opinion consider that what is decisive for the application of Article 271 SCC is the fact that there is a binding order from a foreign authority, regardless of whether the violation of that order is accompanied by sanctions or not. Indeed, the legal text refers to the act performed for a foreign State and which falls under the exercise of public powers. The exercise of state justice in all its forms is part of the regalian powers of the state and by definition concerns the exercise of public powers. This also applies to administrative and even civil proceedings (CR CP II-FISCHER/RICHA, Article 271 NN 9-11). Consequently, any order issued by a state court and whose effects are to be deployed in Switzerland is likely to fall within the scope of Article 271 SCC, whether or not it is accompanied by sanctions. Indeed, the distinction made as to whether or not there is a sanction for non-cooperation with the foreign authority is not anchored in the text of Article 271 SCC (cf. CR CP II-FISCHER/RICHA, Article 271 N 27).

Our view is in fully in line with the wording of Article 271 SCC, which does not contain any nuance with respect to disclosure in complying with the enforcement of an order by a foreign Court.

The Swiss Federal Tribunal recently ruled that an act (1) which leads to a violation or circumvention of Swiss or international law on administrative or judicial assistance, or (2) which falls within the competence of a Swiss authority or official according to the law on administrative and judicial assistance, is punishable based on Article 271 para. 1 SCC. (SFTR 148 IV 66, rec. 1.4.1. and 1.4.2).

Article 271 para. 1 SCC can apply when a party does not respect Swiss law requirements to grant international legal assistance. What is decisive is that the handing over of information and documents that can only be legally handed over in Switzerland by order of the public authorities affects the legal interest protected by Article 271 SCC. Only administrative assistance or mutual legal assistance, and hence the intervention of Swiss authorities in the process, provides a procedural framework which allows to reconcile the conflicting obligations (maintaining secrecy, disclosing information and guaranteeing the principle of speciality, SFTR 148 IV 66, rec. 1.4.2).

Moreover, according to the Swiss Federal Tribunal, in any case, only files and information that can be made available abroad without taking into consideration information about third parties that is not publicly accessible (SFTR 148 IV 66, rec. 1.4.2), can be transferred to a foreign authority.

Only the administrative or judicial assistance route and the involvement of Swiss authorities offers the procedural route which allows to guarantee the safeguard of this principle.

Therefore, an action in favor of a foreign State accomplished in the circumstances described above is criminal unless performed with the authorization of the competent Swiss authorities and might lead to an *ex officio* criminal prosecution.

In addition, aside from the risks directly linked to a violation of Article 271 SCC, the production of documents outside mutual assistance channels entails other risks such as a breach of Swiss confidentiality requirements or a breach of Article 273 SCC which

criminalizes economic espionage (CR CP II-FISCHER/RICHA, Article 271 N 23; see below at 3.).

Indeed, when, in enforcing an order from a foreign court without the authorization of the competent Swiss authorities, as in the present case, the breadth of the requests can increase the risk of violating Article 273 SCC.

3. Additional risks under Article 273 of the Swiss Criminal Code

According to Article 273 SCC :

“Any person who obtains a manufacturing or trade secret in order to make it available to an external official agency, a foreign organization, a private enterprise, or the agents of any of these, or, any person who makes a manufacturing or trade secret available to an external official agency, a foreign organization, a private enterprise, or the agents of any of these, shall be liable to a custodial sentence not exceeding three years or to a monetary penalty, or in serious cases to a custodial sentence of not less than one year. Any custodial sentence may be combined with a monetary penalty”.

Article 273 SCC is designed to prevent foreign authorities from obtaining information located in Switzerland without using the proper channels of the international judicial assistance (HUG, Whistleblowing et secrets pénalement protégés: quels risques pour le lanceur d’alerte en Suisse?, in RPS 131, p. 1, p. 18; RAPPO, Le secret bancaire, sa portée dans le temps, dans l’espace et dans les groupes de sociétés, Etude de droit Suisse, Bern 2002, N 733 ; AUBERT/BÉGUIN/BERNASCONI AND AL., Le secret bancaire suisse, 3rd ed., Bern 1995, p. 657; SFTR 104 IV 175; JdT 1980 IV 10).

Article 273 SCC protects both the Swiss sovereignty and the private interests of the holders of the information (BSK StGB-HUSMANN, Article 273 N 5-7; CORBOZ, Article 273 N 3-4; CR CP II-FISCHER/RICHA, Article 273 N 3; FISCHER/RICHA, N 153 ; SFCC, judgment of November 27th, 2015, SK.2014.46, rec. 3.1.1, p. 42).

This provision prohibits the disclosure of manufacturing or business secrets to foreign external official agency, foreign organization, foreign private enterprise, or the agents of any of these. The recent case law tends to interpretate widely the notion of foreign recipient of the secret (HUG, RPS 131, p. 19, 23).

According to the Swiss Federal Tribunal, there is a Swiss national interest that all physical or legal persons subject to Swiss territorial sovereignty be protected against what is viewed by Switzerland as economic espionage. Whoever makes available either to a foreign official or to a private physical or legal person a secret, as defined by Article 273, is deemed to endanger the national economical interests of Switzerland (SFTR 101 IV 312; SFTR 98 IV 209, p. 210).

Article 273 SCC protects a secret, i.e., information known only by a restricted circle of physical or legal persons, who do not want to disclose it and have a legitimate interest not to do so. The information must be economically important and difficult to access (BSK StGB-HUSMANN, Article 273 N 12 ff ; CR CP II-FISCHER/RICHA, Article 273 N 16; CORBOZ, art. 273 N 2-4). The concept of information is very broad and includes all facts of economic life for which, from a Swiss perspective, there is a legitimate interest in

confidentiality (BSK StGB-HUSMANN, Article 273 N 9; SFTR 101 IV 177, rec. II.4a; SSCR 98 IV 209, rec. 1a; JAAC 51.5, 1985, Marc Rich & Co AG, para. II.1).

For Article 273 SCC to apply, the confidential information must be connected to Switzerland (“Binnenbeziehung”; BSK StGB-HUSMANN, Article 273 N 51 ff). This is the case if the master of the secret is a Swiss resident or a legal entity incorporated in Switzerland or, according to the SCC, if the secret otherwise falls within the ambit of Swiss sovereignty rules (BSK StGB-HUSMANN, Article 273 N 53 ; FISCHER/RICHA, N 156; SFTR 101 IV 312, para. 1; JAAC 51.5, 1985, Marc Rich & Co AG, rec. II.e).

The concept of manufacturing or trade secrets used in Article 273 SCC is a broader concept than the concept of manufacturing or trade secrets of Article 162 SCC, which protects the business secrets of a corporation (BSK StGB-HUSMANN, Article 273 N 10; CR CP II-FISCHER/RICHA, Article 273 N 20; FISCHER/RICHA, N 158; SFTR 104 IV 175, rec. 1b and c; SFTR 101 IV 177, rec. II/4a). For instance, Article 273 SCC also applies to information that does not have a direct influence on the turnover of the company but is relevant to its economic life in general (SFTR 98 IV 209). Under Article 273 SCC, the interest to keep the relevant information secret does not depend on the condition that it be kept secret in Switzerland; the fact that the recipient does not know such fact is enough (SFTR 101 IV 177, rec. II.4a; PC CP, Article 273 N 4).

This would cover for instance the following requests for production (in the first RFP) since the information requested is not publicly available and MSC has an interest in keeping it confidential and not disclosing it to its competitors:

“31. Copies of Your financial statements (audited, if available) for the periods January 1, 2019 through the present, including Your balance sheet(s) or equivalent(s), income statement(s) or equivalent(s), cash flow statement(s) or equivalent(s), and statements of shareholders’ equity or equivalent(s).

32. Documents sufficient to show Your financial performance from January 1, 2019 through the present, including Your quarterly and annual sales, gross revenues, net revenues, gross margin, gross profits or losses, operating profits or losses, and net profits or losses.

33. Documents sufficient to show the effect of any force majeure event on Your financial performance from January 1, 2020 through the present.

34. Documents sufficient to show Your ownership and ownership structure from January 1, 2019 through the present.

35. Documents sufficient to show Your current assets, including any insurance policies available to cover reparations, fees, or costs awarded in this action.

36. Documents sufficient to show Your policies, procedures, and/or practices concerning the retention or destruction of documents and communications, including emails.

37. Documents sufficient to show Your retention or destruction of documents and communications concerning this action, including any notice to preserve such evidence.”

In particular, any information that a corporation holds concerning third parties, such as customers or commercial counterparts, is protected by Article 273 SCC (CR CP II-FISCHER/RICHA, Article 273 N 12; CORBOZ, Article 273 N 6 ; FISCHER/RICHA, N 160).

This would cover, for instance, the following requests for productions (in the first RFP)

“6. All documents and communications with any person or entity concerning MCS or MCS Cargo, including any of the Intermediaries.

...

16. Documents sufficient to show the total cargo capacity (in TEUs or FEUs) of each vessel on which MCS or any other person booked or attempted to book transportation by You of MCS Cargo, or provided You notice of MCS’s space requirements for any shipment tendered or to be tendered under the OCA.

17. Documents sufficient to show the total unbooked or available cargo capacity (in TEUs or FEUs) of each vessel on which MCS or any other person booked or attempted to book transportation by You of MCS Cargo, or provided You notice of MCS’s space requirements for any shipment tendered or to be tendered under the OCA, as of the date of each such booking or attempted booking.

18. Documents sufficient to show the total unbooked or available cargo capacity (in TEUs or FEUs) of each vessel on which MCS or any other person booked or attempted to book transportation by You of MCS Cargo, or provided You notice of MCS’s space requirements for any shipment tendered or to be tendered under the OCA, as of the scheduled vessel sailing date associated with each such booking or attempted booking.”

The requests for production are extremely broad and there is not possibility to exclude third parties mentioned therein.

Finally, a violation of Article 273 may be found even if there is no damage or specific danger to public or private interests and even if the information supplied is unusable for its recipient (BSK StGB II 2013-HUSMANN, Article 273 N 9).

Regarding the territorial scope of application, Articles 271 SCC and 273 SCC constitute an offense against the State under Article 4 SCC. Therefore, any person who violates Articles 271 and/or 273 is in principle subject to Swiss criminal liability, regardless of where the offense is committed.

3. The TPI Decision and the concept of civil and commercial matter

Insofar as there is an international judicial assistance channel, it is this channel that, in the absence of other authorization by Swiss authorities, must be followed, and the Swiss authorities would expect the foreign authorities to do so.

We are aware of the fact that a request was presented to the cantonal Tribunal de première instance, and the cantonal judge denied that request. We note that this decision has no *res judicata* effect, and does not preclude a new request that sets out in detail the nature of the FMC proceedings as civil proceedings.

In addition, based on the information available to us, we consider that the TPI Decision has incorrectly assessed the FMC proceedings as administrative proceedings. In fact, and as we will explain below, the dispute is civil/commercial in nature in our view.

The concept of civil or commercial matters (Article 1 Hague Convention of 18 March 1970 on the Taking of Evidence Abroad in Civil or Commercial Matters) has to be interpreted autonomously.

In a recent judgement the Obergericht of Zurich (Obergericht, RU210038-O 23 August 2021) has ruled that:

“3.3 The scope of application of the Convention extends to civil or commercial matters (Article 1 para. 1 HCC). The term is defined according to Article 31 of the Vienna Convention on the Law of Treaties of 23 May 1969 (CRC; SR 0.111). (CRC; SR 0.111) and is to be interpreted in a treaty-autonomous manner (EJPD, Die internationale Rechtshilfe in Zivilsachen, Wegleitung, 3rd ed., 2013, p. 4 f. [hereinafter: Guide]; Peter Nobel, Mutual Assistance in Civil Matters in the Light of the Ratification of the Hague Convention of 1970 on the Taking of Evidence Abroad in Civil and Commercial Matters, SZW 1995, pp. 72 ff, p. 75; same result: Andreas L. Meier, Die Anwendung des Haager Beweisübereinkommens in der Schweiz, Unter besonderer Berücksichtigung der Consideration of the Taking of Evidence for U.S. Civil Proceedings, Diss. Basel 1999, p. 86; Elias Hofstetter, Die internationale Rechtshilfe in Criminal and Civil Matters and Banking Secrecy, Introduction and Fundamentals, recht 2004, p. 81 ff, p. 89). According to the doctrine, the nature of the substantive claim is decisive (Paul Volken, Die internationale Rechtshilfe in Zivilsachen, 1996, p. 96; Meier, loc. cit., p. 88 f.; Hofstetter, loc. cit., p. 89, fn 90; Philipp Klaus, Proceedings under the Hague Evidence Convention, ZZZ 2016, p. 300 ff., p. 303), whereby the concept of civil or commercial matter is to be interpreted broadly (Nobel, op. cit., p. 75; Hofstetter, op. cit., p. 89, fn 90; Klaus, op. cit, p. 303; likewise OGer ZH RU160010 of 16.06.2016, E. III.2.).”

In this judgement, which dealt with a tax issue, the Obergericht ruled:

“3.5 ...One of the aims of the Evidence Convention of 1970 was to facilitate mutual legal assistance with the United States of America (Meier, op. cit., p. 82). However, the distinction between public and private law is alien to Anglo-American common law. between public and private law is alien to Anglo-American common law (Meier, loc. cit, p. 80 f.; Gerhard Walter/Monique Jametti Greiner/Ivo Schwander, Internationales Privat- und Verfahrensrecht, Texte und Erläuterungen, vol. 2, 1999, no. 61 b E, para. 28).....

Contrary to the lower court (Urk. 9 E. 3.5) and the Federal Office of Justice (Wegleitung, loc. cit., p. 5) civil actions brought by a public authority against a private person in order to protect public interests are not basically excluded (see also Meier, op. cit., p. 87); since a state hardly ever pursues private interests, all actions by state actors would not be covered by the material scope of application. . The legislative history does not provide any indications that the parties would have wanted this (see Dispatch, loc. cit., p. 1265 f.).

Thus the Special Commission (albeit within the framework of the Hague Service Convention of 1965 [SR 0.274.131]) that the "nature of the cause of action" was the decisive factor. ("nature of the cause of action").”

In the present matter, we understand the nature of the FMC proceedings to be as follows:

- MCS appears as complainant and MSC as respondent;
- MCS is asking the FMC to order “reparation for injuries”;
- the complaint is based on the alleged refusal of MSC to fulfill obligations vis-à-vis MCS;
- contractual relationships between the parties are relevant to the resolution of the dispute before the FMC; and
- one of the reliefs sought by MCS is reparation for the alleged unlawful conduct of MSC.

Based on the above, we consider that the dispute pending before the FMC is civil or commercial in nature and falls under the scope of the Hague Convention and that, as a consequence, the TPI erred in rejecting mutual legal assistance under the Hague Convention.

IV. Conclusions

In the present case, and based on (i) the existence of a compelling order, (ii) the TPI Decision, and (iii) the extremely broad scope of the discovery we believe that MSC faces important risk of violating Article 271 SCC by producing documents outside the mutual assistance channels.

This is all the more true since:

- the extremely broad scope of the discovery required would inevitably require MSC to provide information relating to third parties, which is contrary to Article 271 SCC (see item 15, item 20, item 21, item 22, item 28, item 29, item 30);
- the extremely broad scope of the discovery would also lead to MSC having to reveal facts considered secret under Article 273 SCC, which in itself is likely to lead to the initiation of criminal proceedings.

Furthermore, complying with the order would mean transferring data outside of the Swiss jurisdiction, where they benefit from an extensive protection, to a jurisdiction where data does not benefit from the same safeguards as in Switzerland.

One can never know how the Swiss authorities will react if a Swiss company executes a discovery order, which is clearly extremely extensive by Swiss legal standards.

A criminal prosecution in Switzerland would not target MSC but the representatives and employees of MSC in Switzerland involved in complying with the Order (with the exception set forth under Article 102 par. 1 SCC); in view of the situation described above, no certainty can be given to the employees that (1) there will be no criminal prosecution by the Swiss authorities and (2) if there were such a prosecution, it would not lead not a conviction.

At best, the deposition of employees would be taken by the Swiss prosecutors which *per se* is disruptive; the employees would probably have to retain Swiss legal counsel to obtain advice in respect of their position.

MSC cannot subject its employees to be exposed to any criminal risk, even though from abroad the risk could appear tenuous.

Based on the above, it is our view that the use of the mutual assistance procedures (by requesting a new civil rogatory request to the FoJ to be implemented according to the rules of the Hague Convention) provides the best and clearest way to allow MSC to proceed without legal risk.

* * *

Signed in Lausanne on September 22, 2022:

Professor Dr. Carlo Lombardini



Professor Dr. Alain Macaluso

Exhibit “3”

From: Matthew Reynolds <reynolds@huthreynolds.com>
Sent: Thursday, September 15, 2022 10:22 AM
To: Louis Epstein; Booth, Karyn; George Tsimis
Cc: Kontakis, George K.; Xanthopoulou, Ifigeneia; Longstreth, John; Scanlon, Michael F.; Karl Huth; Sara Wilcox
Subject: Notice of new development in FMC case relevant to MSC v. MCS arbitration
Attachments: 21-05.OTSC.pdf

External Sender:

Dear Members of the Arbitral Panel:

I write to inform the Panel of a recent development in the ongoing parallel litigation between the parties before the Federal Maritime Commission ("FMC") that has the potential to affect the claims, counterclaims, and damages sought in this arbitration. In the attached Order, FMC Chief Administrative Law Judge Erin M. Wirth has ordered MSC Mediterranean Shipping Company SA ("Mediterranean") to show cause by September 22, 2022 why default judgment should not be entered against it if it fails to produce discovery that has been the subject of prior orders compelling production and an unsuccessful letter of request under the Convention of 18 March 1970 on the Taking of Evidence Abroad in Civil or Commercial Matters. Chief Judge Wirth has also instructed MCS Industries, Inc. ("MCS") to file a response identifying the dollar amount of reparations that it is seeking by October 6, 2022.

The FMC's decision is pertinent to this arbitration in several respects.

- First, the amount of reparations awarded to MCS for the 2020 and 2021 contract years at issue in the FMC case could affect MCS's damages on its first counterclaim in this arbitration; i.e., the difference between the parties' contracted rates and the higher rates that MCS had to pay due to Mediterranean's failure to make space equaling or exceeding the minimum quantity commitments in the relevant service contracts available to MCS during the terms of those service contracts. Such an award likely would not affect the damages claimed in connection with MCS's first counterclaim with respect to the 2017-2018 or 2019-2020 shipping years, or its second or third counterclaim (for fraudulent inducement and unjust enrichment, respectively).
- Second, if Mediterranean is found liable for acting in violation of its filed service contracts, or acting in an unlawful or unjust manner, such a finding could estop Mediterranean from arguing in this arbitration that it materially performed its obligations under the service contracts at issue, which is an essential element of Mediterranean's claims. *See, e.g., Dorfman v. Am. Student Assistance*, 104 A.D.3d 474, 474, 960 N.Y.S.2d 420, 421 (N.Y. App. Div. 2013).

We respectfully suggest that it would be most efficient to wait for the FMC's order before setting a schedule for this arbitration, because the result there is likely to affect the scope of discovery, provide a basis for summary judgment, and/or affect the parties' positions concerning settlement.

Respectfully submitted,

Matthew J. Reynolds
Partner
Huth Reynolds LLP
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<http://www.huthreynolds.com/>

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FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

MCS INDUSTRIES, INC., *Complainant*

v.

COSCO SHIPPING LINES CO., LTD. AND MSC
MEDITERRANEAN SHIPPING COMPANY SA, *Respondents*.

DOCKET NO. 21-05

Served: September 8, 2022

ORDER OF: Erin M. WIRTH, *Chief Administrative Law Judge*.

**ORDER DENYING RESPONDENT’S MOTION FOR AN EXTENSION OF TIME AND
ORDER TO SHOW CAUSE**

On July 29, 2022, an order was issued requiring Respondent MSC Mediterranean Shipping Company SA (“MSC Mediterranean Shipping”) to produce all outstanding discovery by August 29, 2022, including the discovery ordered to be produced in the order granting motion to compel issued on December 8, 2021. MSC Mediterranean Shipping failed to produce the required discovery. Instead, on August 26, 2022, MSC Mediterranean Shipping filed a motion seeking an extension of time (“Motion”) and on September 6, 2022, it filed a notice of advice of the Swiss Federal Office of Justice (“Notice”). On September 2, 2022, Complainant MCS Industries, Inc. (“MCS Industries”) filed an opposition to the motion for an extension of time.

As explained below, MSC Mediterranean Shipping’s motion seeking an extension of time is denied and it is ordered to show cause why a default decision should not be issued against it for failure to produce discovery. COSCO was previously dismissed due to a settlement.

MSC Mediterranean Shipping requested an extension to obtain advice from the Federal Office of Justice in Switzerland and propose a path forward, stating that it “cannot comply” with the July 29, 2022, order requiring production of documents and “that the July 1 ruling of the Geneva Court of First Instance is in error.” Motion at 1-2. Complainant asserts that Respondent’s failure to comply with its discovery obligations are a crisis of Respondent’s own making; Respondent’s motion should be denied as both substantively meritless and procedurally inappropriate; and, procedural sanctions are an appropriate remedy for Respondent’s noncompliance. Opposition at 1-6.

Essentially, Respondent continues to argue despite rulings to the contrary in this proceeding and in the Republic and Canton of Geneva Court of First Instance, that due to Swiss legal requirements it cannot produce the discovery ordered in the December 8, 2021, motion to compel and the July 29, 2022, order requiring production of discovery, and that the Swiss court’s decision that their intervention is not necessary was in error. Motion at 1-5.

The notice filed by MSC Mediterranean Shipping argues that it contacted the Federal Office of Justice in Switzerland to confirm that the ruling of the Geneva Court of First Instance was in error and the “advice from the Federal Office of Justice directly supports MSC’s proposal that the request for judicial assistance should be resubmitted in order to obtain a correct assessment that the procedures are available.” Notice at 1. However, it is clear that this “advice” from the Federal Office of Justice in Switzerland merely identifies the process for resubmitting a request and the factors that may be taken into account, without any discussion of the merits of this proceeding. Notice, Exhibit B.

The question of whether Swiss assistance with discovery is required has been answered by the undersigned Administrative Law Judge and by the Court of First Instance in Geneva. MSC Mediterranean Shipping’s position did not prevail and now it must produce discovery or face procedural consequences. Relitigation of the same issue will not be permitted and has only delayed this proceeding. Therefore, the motion seeking an extension is denied.

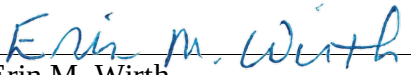
As Respondent was advised previously, pursuant to Commission Rule 150(b), if a party “fails or refuses to obey an order requiring it to make disclosures or to respond to discovery requests, the presiding officer upon his or her own initiative or upon motion of a party may make such orders in regard to the failure or refusal as are just,” including “rendering a decision by default against the disobedient party.” 46 C.F.R. 502.150(b).

In multiple filings, MSC Mediterranean Shipping has indicated that it will not produce the discovery that it has been repeatedly ordered to produce. Complainant asserts that “Respondent cannot accept the benefits of shipping cargo to and from U.S. ports while shirking its legal and regulatory obligations before the Commission” and that it would request a decision on default. Opposition at 6. Given MSC Mediterranean Shipping’s statements that it will not produce the required discovery, it is appropriate to determine whether a default decision is an appropriate remedy. Accordingly, MSC Mediterranean Shipping is ordered to show cause why a default decision should not be issued against it.

The amended complaint seeks an FMC investigation; a finding of violations of the Shipping Act; a cease and desist order; and an order requiring MSC Mediterranean Shipping to pay an unspecified amount of reparations to Complainant. An FMC investigation cannot be ordered through a formal proceeding. However, the other requested remedies may be ordered. In their response to MSC Mediterranean Shipping’s filing, Complainant should identify the dollar amount of reparations that they are seeking. MSC Mediterranean Shipping may file a reply to Complainant’s arguments.

The merits of the proceeding and remedy are not at issue and should not be addressed in these filings—the question is only whether a default decision or other procedural consequence is appropriate for MSC Mediterranean Shipping’s failure to produce discovery. If MSC Mediterranean Shipping provides the discovery, the issue will be moot and the case can proceed to a resolution on the merits. The parties may also chose to settle the proceeding and if so, should submit a motion requesting approval of the settlement with a copy of the settlement agreement.

For the reasons stated above, it is hereby **ORDERED** that MSC Mediterranean Shipping's motion for an extension of time be **DENIED**. It is further **ORDERED** that by September 22, 2022, MSC Mediterranean Shipping either provide the required discovery or show cause why default judgment should not be entered against it. Complainant may respond to MSC Mediterranean Shipping's filing by October 6, 2022. MSC Mediterranean Shipping may file a reply by October 14, 2022.


Erin M. Wirth
Chief Administrative Law Judge